

COMPLIANCE WITH THE FINANCE BUSINESS ACT DIRECTION

Compliance with the Finance Business Act Direction No. 5 of 2021 Corporate Governance issued by Central Bank of Sri Lanka

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
1	BOARD'S OVERALL RESPONSIBILITIES	
1.1	Overall responsibility and accountability The Board assumed overall responsibility and accountability for the operations of the Company by setting up the strategic direction, governance framework, establishing corporate culture and ensuring compliance with all regulatory requirements to maintain and improve the sound governance culture. The Board functions are listed in direction 1.2 to 1.7 on pages 359 to 363.	Complied
1.2	Business Strategy and Governance Framework	
a)	Approving and overseeing the implementation of strategic objectives and overall business strategy The Board provides leadership, in approving and overseeing the implementation of strategic objectives and overall business strategy of the Company. The Board also ensures that the necessary financial and human resources are in place for the Company to meet its objectives. The Company's Vision and Mission have served as the foundation for developing Board-approved strategic objectives and corporate values, which have been effectively communicated across the organization. The Board is committed to ensuring that the Company fulfills its responsibilities to shareholders and other stakeholders by ensuring their expectations are comprehended and fulfilled. The Company has established strategic plan from 2023/24 to 2025/26 and approved by the Board. Amid rapidly evolving market conditions and new developments in the business environment, the Board annually reviews the overall business strategy with measurable goals. Strategic plan has been communicated to all Directors and Senior Management personnel related to different operations of the Company.	Complied
b)	Approving and implementing Governance Framework The governance framework of the company has been reviewed and approved by Board during the year. The Company implemented the Board approved governance framework which is in line with the Company's size, complexity, business strategy and regulatory requirements.	Complied
c)	Periodic assessment of the effectiveness of Governance Framework A process is in place to periodically assess the effectiveness of the Governance Framework by the Board. Effectiveness of the governance process has been reviewed during the year and the results will be presented to the Board meeting held on June 2024 for improvements.	Complied
d)	Appointing the Chairperson and the CEO and define the roles and responsibilities The Board has appointed the Chairman on 01 December 2021 and MD/CEO on 10 December 2003. Board approved roles and responsibilities are available for Chairman and MD/CEO of the Company. A brief description of the roles and responsibilities of the Chairman and MD/CEO are given on page 169.	Complied
1.3	Corporate Culture and Values	
a)	Sound corporate culture The Company has a sound corporate culture which encourage ethical, prudent and professional behavior of employees of the Company. Various policies, procedures and processes such as HR Policy, Policy of Code of Conduct, Anti-Bribery and Anti-Corruption Policy, Whistleblowing Policy, Corporate Communication Policy, Share Trading Policy are in place by the Board to strengthen the corporate culture which encourage ethical, prudent and professional behaviors.	Complied

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b)	Establishing the corporate culture and values, code of conduct and managing conflicts of interest Board approved policy on Code of Conduct and Conflict of Interest Policy are in place to establish the corporate culture and values of the company. The Board believes that the establishment of a strong corporate culture, built on core values, is facilitated through the implementation of a comprehensive code of conduct. The Board approved Code of Conduct serves as a guiding framework for employees, outlining the expected behaviors and ethical standards that shape the Company's culture. The Company's Code of Conduct is reviewed and approved by the Board. Article 97 of Articles of Association on 'Restrictions on Voting' evidences the procedure for a Director to abstain from voting on any Board resolution when there is conflict of interest and he/she is not to be counted in the quorum. The Company's Corporate Governance Framework and Board approved Policy on Conflict of Interest also clearly provide guidance on avoiding, managing and disclosing conflicts of interests. The Directors' interests are disclosed to the Board at the start of every meeting. If a Director has an interest in a particular matter, he/she abstains from voting at such meeting and he/she is not counted in the quorum.	Complied
c)	Promoting sustainable finance Environmental, Social and Governance (ESG) factors are integrated into the Company's overall strategy, decision-making processes, and risk management. By considering ESG factors in decision-making processes, the Board ensures that the Company's actions contribute to sustainable growth and long-term value creation. Identifying the importance of promoting sustainable finance through appropriate ESG considerations, LBF has established a Board Sub-committee, Board Sustainability Committee to formulate a policy on sustainability and oversight the management committee functions. Refer Board Sustainability Committee report on page 202 and sustainability at LBF on page 56 for ESG initiatives executed by the Company during the period.	Complied
d)	Approving the policy of communication A Board approved Corporate Communication Policy with all stakeholders including depositors, shareholders, borrowers and other creditors is in place. A balanced view of Company's performance, position, and prospects is important for transparency, risk management, trust, regulatory compliance, strategic planning, and investor relations. The Board approved Corporate Communication Policy, covering all stakeholders including depositors, shareholders, borrowers and other creditors, has enabled effective communication with the public and regulators, contributing to the stability, growth and success of the Company. This policy is reviewed regularly in order to reflect the best practices in communications.	Complied
1.4	Risk Appetite, Risk Management and Internal Controls	
a)	Establishing and reviewing the Risk Appetite Statement (RAS) The Board is responsible for overseeing a strong risk management framework. The Board takes an active role in defining the risk appetite and ensuring its alignment with the Company's business strategy, Governance Framework and capital. A Board approved RAS is in place and regularly monitored through the Board Integrated Risk Management Committee (BIRMC). The risk management department submits a monthly report to the Board comparing the actual position against the risk appetites, highlighting breaches and near breaches along with respective justifications and action plans. The RAS last reviewed and approved by the Board in December 2023.	Complied

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b)	Implementation of systems and controls to identify, mitigate and manage risks The Board of LBF oversees the company's overall risk management process. The Board has appointed the BIRMC to review and recommend the company's risk policies and procedures defining the risk appetites, identifying principal risks, setting governance structures and implementing policies and systems in line with the Integrated Risk Management Framework to identify, manage and mitigate the principal risks of the company. Risk management policies, procedures and frameworks are reviewed and recommended by the BIRMC to the Board based on the internal and external regulations and industry best practices. The BIRMC submits a Risk Assessment Report to the Board within seven days of each meeting. The Integrated Risk Management Report on pages 208 provides further insight in this regard.	Complied
c)	Adequacy and Effectiveness of the internal control systems and Management Information Systems (MIS) The Board ensures that the management maintains a sound system of internal controls to safeguard shareholders' investments and the Company's assets. Internal Controls are designed, among other things to ensure that, each key operations have a policy, process or other measures as well as a control to ensure that such policy, process or other measure is being applied and works as intended. A Board approved Information System Security Policy is in place. The Board Audit Committee (BAC) has been delegated to regularly review the Company's internal control systems and Management Information Systems (MIS). The BAC has adopted a process to periodically ensure the implementation of sound internal control systems and MIS. The Internal Audit team provided independent assurance to the BAC on the integrity of the Internal Control Systems and the MIS through their annual review of Control Assessment Forms and routine internal audit engagements. Related reports were tabled at the monthly BAC meetings. System and observations were monitored by the Board through BAC, which confirmed that the internal control system and the Management Information System provide a reasonable assurance.	Complied
d)	Approving and overseeing Business Continuity Plan (BCP) and Disaster Recovery Plan (DRP) The Board approved Business Continuity management policies are in place for business continuity planning and disaster recovery planning. The Business Continuity Management Committee (BCMC) is appointed to provide strategic direction and support in establishing, implementing, operating, monitoring, reviewing and improving the business continuity management systems of the Company. A frequent BCM drills are conducted covering core business units of the organization to ensure the effectiveness of the Company's business continuity and disaster recovery planning. Board approved business continuity plan and disaster recovery plan is in place and regularly reviewed by the Board to ensure stability, financial strength, and preserve critical operations and services under unforeseen circumstances.	Complied
1.5	Board Commitment and Competency	
a)	Devoting sufficient time on matters relating to affairs of the Company The Board of Directors devote sufficient time on dealing with the matters relating to affairs of the Company. The Board meets on monthly intervals and Board Sub Committees meet monthly, every other month or quarterly intervals as stipulated in the respective Terms of Reference of each Sub Committee.	Complied
b)	Qualifications, skills, knowledge, and experience of Board of Directors Appointments to the Board are recommended by the Board Nomination and Governance Committee. The Directors including Non-Executive Directors possess necessary qualifications, adequate skills, knowledge and experience to discharge their duties. Refer the detailed profiles of the Board of Directors on pages 156 to 160.	Complied

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c)	Training and development needs of the Board of Directors A process is in place to provide an appropriate induction and ongoing training to every Director of the Board. The Board reviews the training and development needs through Board's annual performance evaluation. The details of the training provided to Board members are stated in the corporate governance report on page 175.	Complied
d)	Self-assessment of the Directors, Sub Committees and the Board Annual self-assessments are performed at the end of each financial year which cover individual performance of each Director and performance of Board as a whole and of Board Sub Committees. The self-evaluation of the Board and Sub-Committees are minuted by respective Secretaries and such records are maintained for effective usage of self-assessment process. The process followed to perform the self-evaluation of the Board members are detailed in the corporate governance report on page 177.	Complied
e)	External independent professional advice A Board approved procedure is in place for this regard. Governance Framework of the Company includes provisions in obtaining independent professional advice to the Board of Directors as and when necessary at Company's expenses to discharge their duties. However, no such instances have occurred during the year when discharging their duties effectively.	Complied
1.6	Oversight of Senior Management	
a)	Identifying and designating Senior Management The positions that can be significantly influenced the Company's policies, direct activities, exercise control over business operations and risk management, have been identified by the Board and designated as Senior Management of the Company. Refer company's organization chart on page 358.	Complied
b)	Areas of authority and key responsibilities for the Senior Management Accountability and responsibility are delegated to Senior Management officers through the implementation of various policies, procedures, and Job Descriptions (JD). Board approved areas of authority and key responsibilities are available for Senior Management.	Complied
c)	Qualifications, skills, experience and knowledge of Senior Management The Company adopts a stringent procedure in recruiting all Senior Management positions as described in the HR Policy. Predefined qualifications, skills, knowledge and experience are stated in the respective JDs. Independent functions related recruitments are referred to the respective Sub-Committee for their inputs. The approval for Key Responsible Persons (KRPs) are obtained from CBSL. All the Senior Management personnel possess necessary qualifications, skill, experience and knowledge to perform their assigned functions. Refer the profiles of Senior Management on corporate website.	Complied
d)	Oversight of the affairs of the Company by Senior Management Oversight of the affairs of the Company by its Senior Management takes place at the regular Board meetings and Sub-Committee meetings. Senior Management personnel make regular presentations to the Board on matters under their purview.	Complied
e)	Succession plan for Senior Management A Board approved one to one succession plan is available for Senior Management personnel including MD and Executive Directors. A process is in place to regularly review and update the plan with Board approval.	Complied

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f)	Regular meetings with Senior Management The Senior Management are regularly invited to make presentations and participate in discussions on their areas of responsibility at the Board and its Sub Committee meetings and progress towards corporate strategic objectives is a regular agenda item for the Board where Senior Management Personnel are involved regularly.	Complied
1.7	Adherence to the Existing Legal Framework	
a)	Ensuring that the Company does not act in a manner that is detrimental or prejudicial to the interests and obligations to stakeholders Well-established systems and controls are in place for the Board to ensure that Company carries out its activities to the best interest of and obligations to depositors, Shareholders and other stakeholders The Board affirms that the Company has not acted in a manner that is detrimental to the interest of and obligations to any stakeholder.	Complied
b)	Compliance with relevant laws, regulations, directions and ethical standards Fully fledged Compliance department is established to ensure whether company carries out its activities in adherence to the relevant laws, regulations, directions and ethical standards. The Board Audit Committee obtains periodic independent assurance from the internal audit department when discharging their duties. Procedures are in place to obtain periodic assurance by the Board and the Board affirms that the Company adheres to relevant laws, regulations, directions and ethical standards to the best of their knowledge.	Complied
c)	Acting with due care and prudence, and with integrity and avoid potential civil and criminal liabilities that may arise from Board's failure to discharge the duties diligently The Board of Directors act with due care, prudence and with integrity to drive the company for a sustainable growth.	Complied
2	GOVERNANCE FRAMEWORK	
2.1	Development of a Governance Framework The Board has developed and implemented comprehensive Governance Framework including, but not limited, to the following key aspects of good governance. The governance framework was last reviewed and approved by the Board in March 2024 a. Roles and responsibilities of the Board – on page 384 b. Matters assigned for the Board – on page 173 c. Delegation of authority – on page 369 d. Board Composition – on page 168 e. Board independence – on page 168 f. Nomination, election, appointment of Directors and Senior Management – on pages 170 and 362 g. Management of conflict of interest – on page 175 h. Access to information and obtaining independent advice – on pages 174 and 362 i. Capacity building of Board members – on page 175 j. Board's performance evaluation – on page 177 k. Role and responsibilities of Chairman and CEO/MD – on page 169 l. Role of Company Secretary – on page 170 m. Board's Sub-Committees, their role and performance evaluation – on page 177 n. Limits on related party transactions – on pages 183, 198 and 378	Complied

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3	COMPOSITION OF THE BOARD	
3.1	Ensuring the Board composition appropriate for the size, complexity and risk profile of the company Appointments to the Board are recommended by the BNGC. Before recommending to the Board, the nominations to the Board are evaluated by the BNGC providing due reference to the size, complexity and current risk profile of the Company. The Directors including Non-Executive Directors are eminent persons with necessary qualifications, adequate skills and knowledge, expertise and experience to bring an independent judgment and their detailed profiles are on pages 156 to 160	Complied
3.2	Number of Directors on the Board As at 31 March 2024, the Board of Directors comprised ten (10) members which is within the statutory limit required by the direction. The objective of the Company is to maintain a healthy balance between Executive, Non-Executive and Independent Directors.	Complied
3.3	Service Period of Non-Executive Directors The Service period of Non-Executive Directors does not exceed 9 years which is within the requirement of this direction. Service period of the Non-Executive Directors are disclosed on page 174.	Complied
3.4	Service period of Non-Executive Directors who holds 10% direct or indirect holding of the Company The service period of all Non-Executive Directors is below 9 years and hence, no such requirement has arisen during the year.	Complied
3.5	Executive Directors	
a)	Criteria for Executive Directors/Senior Management Four (4) out of the ten (10) Directors are Executive Directors. Transitional provisions are applicable until 1 July 2024. The BNGC is in the process of fulfilling this requirement.	Requirement will be fulfilled before the deadline
b)	Shareholding of Executive Directors and Senior Management Executive Directors or Senior Management does not hold more than 10% of the voting rights of the Company.	Complied
c)	Appointment of an Executive Director as MD/CEO Mr. Sumith Adhihetty is an Executive Director and is designated as MD/CEO of the Company.	Complied
d)	Availability of Functional reporting lines of Executive Directors All four (4) Executive Directors are assigned to specific functional areas in the Company where there are clear functional reporting lines. Refer the organization chart on page 358 for more details.	Complied
e)	Reporting lines of Executive Directors to Board of Directors The Deputy Managing Director and two (2) Executive Directors are reported to the Board of Directors through the MD/CEO of the Company. Refer the organization chart on page 358 for more details	Complied
f)	Holding Executive Directorships and Senior Management positions by Executive Directors All the Executive Directors including MD has declared that they do not hold any Executive Directorships or Senior Management positions in any other entity.	Complied

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3.6	Non-Executive Directors	
a)	Skills, experience and credible track records of Non- Executive Directors All appointments to the Board are recommended by the BNGC. Directors including Non-Executive Directors are eminent persons who possess credible track records and have necessary knowledge, skills, expertise and experience to bring an independent judgment on the issues of strategy, performance, resources and standards of business conducts. All Non-Executive Directors are actively engaged in providing their independent judgment on various matters under discussion through Board Sub-committees. Refer detailed profiles of the Board on pages 156 to 160.	Complied
b)	Non-Executive Directors cannot function in the capacity of CEO/Executive Director An Executive Director functions as the MD/CEO of the Company. No Non-Executive Director has been appointed or functioned as MD/ CEO or Executive Director of the Company.	Complied
3.7	Independent Directors	
a)	Minimum number of Independent Directors Three (3) out of ten (10) Directors are Independent Directors. The BNGC is in the process of fulfilling this requirement before the deadline. Transitional provisions are applicable until 1 July 2024.	Requirement will be fulfilled before the deadline
b)	Qualifications and experience of Independent Directors The Independent Non-Executive Directors of the Company bring a diverse range of skills and experience to the Board, contributing to effective governance and decision-making. Their collective expertise encompasses various fields, including finance, risk management, legal, regulatory compliance, technology, strategy, and industry knowledge. This diverse skill set enables them to provide valuable insights, independent judgment, and constructive challenge to executive management. The Independent Non-Executive Directors' extensive professional backgrounds and experience in different sectors strengthen the Board's ability to navigate complex challenges, anticipate emerging trends, and drive the Company's long-term success while upholding the highest standards of Corporate Governance. The Board's detailed profiles are on pages 156 to 160.	Complied
c)	Independent criteria of Independent Directors Three (3) out of six (6) Non-Executive Directors are independent. The Board evaluates independence of the Directors annually based on the Directors' self-declarations. The criteria defined in this direction are taken into consideration when evaluating the independence of each Non-Executive Director.	Complied
d)	Determining any other factors affecting to the independence of the Directors The BNGC and the Board assess whether there are any circumstances or relationships, beyond those specified in the direction, that could potentially influence the independence of a director or create a perception that their independence may be compromised at the annual evaluation process. However, no such incidents were occurred during the year.	Complied
e)	Immediate disclosure of circumstances that affect the independence of the Directors A process is in place to disclose immediately to the Board on any change in circumstance that may affect the independence of an Independent Non-Executive Director. No such changes in the status of the independence were reported to the Board during the year.	Complied

CORPORATE GOVERNANCE

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3.8	Alternate Directors	
a) b) c) d)	Appointment of Alternate Directors No Alternate Directors were appointed by the Directors during the year. No Director on the Board was unable to perform their duties as a result of illness, nor did any Director miss three consecutive Board meetings due to being overseas.	Complied
e)	Independent requirement for Alternate Director appointed for an Independent Director When Alternate Director is appointed for Independent Non-Executive Director, the Board ensures that the person so appointed shall meet the criteria that apply to an Independent Director. However, there were no Alternate Directors appointed during the year 2023/24.	Complied
3.9	Cooling off Periods	
a)	Cooling off period for Directors BNGC monitors the requirement of cooling off period as per this direction. However, no such appointments were made during the year 2023/24.	Complied
b)	Cooling off period for Independent Directors BNGC and the Board monitor the requirement of cooling off period as per this direction. However, no such appointments were made during the year 2023/24.	Complied
3.10	Appointment of a Director or a Senior Management of the Company as a Director of another LFC All the Directors of the Board except Independent Directors are appointed as the Directors of Multi Finance PLC which is a Subsidiary of the Company upon the approval of CBSL.	Complied
3.11	Limit on holding Directorships by a Director of the Company No Director hold Directorships or any equivalent positions in more than 20 companies/societies, bodies including Subsidiaries of the Company.	Complied
4	ASSESSMENT OF FIT AND PROPER CRITERIA	
4.1	Fitness and Propriety of Directors Fitness and Propriety of Directors are assessed annually in terms of the requirements of the Finance Business Act Direction no. 6 of 2021 – Assessment of Fitness and Propriety of Key Responsible Persons.	Complied
4.2	Maximum age of new Directors The Age of the MD/CEO has exceeded 70 years and necessary approvals were obtained from Central Bank of Sri Lanka for such appointment in compliance with section no. 4.3 of this direction.	Complied
4.3	Maximum age of existing Directors The Age of the MD/CEO has exceeded 70 years and necessary approvals were obtained from Central Bank of Sri Lanka for such appointment as per this direction.	Complied
5	APPOINTMENT AND RESIGNATION OF DIRECTORS AND SENIOR MANAGEMENT	
5.1	The appointments, resignations or removals of Directors and Senior Management All the appointments and resignations to the Board and Senior Management positions were made in accordance with the Finance Business Act direction no. 6 of 2021 – Assessment of Fitness and Propriety of Key Responsible Person. All Board members and senior management team have completed their fitness and propriety assessments during the year.	Complied
6	THE CHAIRPERSON AND THE CHIEF EXECUTIVE OFFICER	
6.1	Clear division of responsibilities between the Chairperson and CEO Board approved Governance Framework provide clear division of responsibilities between the Chairperson and the MD. Refer corporate governance report on pages 164 to 179 for more details.	Complied

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6.2	Independence of Chairperson The Chairman is a Non-Independent Non-Executive Director. The Board has appointed Independent Non-Executive Director, Mr. Ashane Jayasekara as a Senior Director.	Complied
6.3	Appointment of a Senior Director when the chairperson is not independent The Chairman is a Non-Independent Non-Executive Director. Independent Non-Executive Director, Mr. Ashane Jayasekara was appointed as a Senior Director with the Board approved TOR to ensure a greater independent element in the Board. Non-executive Directors and Senior Director assess the Chairman's performance annually.	Complied
6.4	Responsibilities of the Chairperson	
a) j)	Responsibilities of the Chairperson The Chairman is responsible to provide leadership, guidance, and oversight to the Board, ensuring that it operates effectively, fulfills its responsibilities, and acts in the best interests of the organization and its stakeholders. Board approved Governance Framework includes the comprehensive set of responsibilities of the Chairman including the responsibilities set out in this direction. Refer page 169 for more details on the Chairman's responsibilities.	Complied
6.5	Responsibilities of the MD/ CEO	
a) g)	Responsibilities of the MD/CEO In terms of duties and responsibilities of the MD/CEO, he is the apex executive who is responsible for day-to-day operations of the Company with the assistance of Deputy Managing Director, Executive Directors and members of the Senior Management and is accountable to the Board to recommend the Company's strategy implementation and ensure appropriate internal controls are in place to assess and manage risks. Board approved Governance Framework includes a comprehensive set of responsibilities of the MD / CEO including the responsibilities stated in this direction. Refer page 170 for more details on the MD/ CEO's responsibilities.	Complied
7	MEETINGS OF THE BOARD	
7.1	Regular Board meetings The Board meets regularly approximately at monthly intervals and special Board meetings are convened whenever necessary. The Board met on thirteen (13) occasions during the year 2023/24. The consent of the Board is usually obtained at meetings with due notice given with Board papers. Consent obtained by circulation has been kept at minimal and it was only in eighteen (18) instances.	Complied
7.2	Directors to include matters and proposals in the agenda The Board approved process is in place which enable equal opportunities for all the Directors to include matters and proposals in the agenda for regular Board meetings. Monthly meetings are scheduled and informed to the Board at the beginning of each calendar year to enable submission of proposals to the agenda.	Complied
7.3	A notice of Board Meetings Board meeting dates were agreed by the Board members in advance for the calendar year. Agenda and all Board papers are uploaded through a secured link to iPad for Directors to remotely access seven (7) days prior to the Board meetings.	Complied
7.4	Directors to devote sufficient time to prepare and attend to Board meetings The agenda and Board papers are uploaded in advance and Directors have sufficient time to prepare for the meetings. All the Directors actively contribute at the Board meetings by providing views and suggestions to the best interest of the Company.	Complied

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7.5	Quorum of the Board meetings All Board meetings held during the financial year were duly constituted with one half (1/2) of the number of Directors present and one fourth (1/4) of the number of Directors constituting the quorum being Independent Directors.	Complied
7.6	Board meetings without the presence of Executive Directors Two (2) meetings were held by the Chairperson without the presence of the Executive Directors to facilitate effective communication, engagement, and collaboration within the Board. This process supports the smooth functioning of the Board and enhance the overall Governance and decision-making processes.	Complied
7.7	Director abstain from voting relating to matters of relating to him Board approved conflict of interest Policy is in place where a Director is required to abstain from voting in relation to a matter in which such Director or his/her relatives or a concern in which he/she has substantial interest.	Complied
7.8	Attendance of Directors at Board meetings All Directors have attended at least two-third (2/3) of the meetings held during the year and no Director has been absent from three consecutive regular Board meetings during the year financial year 2023/24. Refer page 174 for details of individual Directors' attendance at Board meetings	Complied
7.9	Scheduled Board Meetings and Ad Hoc Board Meetings Participation in person is encouraged for all scheduled Board Meetings. All thirteen (13) Board meetings were held physically and no meeting was held through electronic means. Directors attendance details of the Board meetings are disclosed on page 174.	Complied
8	COMPANY SECRETARY	
8.1 a)	Appointment of a Company Secretary M/s. PW Corporate Secretarial (Pvt) Ltd functions as the Company Secretary of the Company. The recruitment of an in-house Company Secretary is complete, and formal approval as a KRP from the CBSL is currently in progress. Both the CBSL approval and the work transfer process to be finalized before the deadline on 01/07/2024.	Requirement will be fulfilled before the deadline
8.1 b)	Qualifications of Company Secretary M/s. PW Corporates Secretarial (Pvt) Ltd functions as the Company Secretary of the Company. The recruitment of an in-house Company Secretary with required qualifications is complete, and formal approval as KRP from the CBSL is currently in progress. Both the CBSL approval and the work transfer process to be finalized before the deadline on 01/07/2024.	Requirement will be fulfilled before the deadline
8.2	Access to advice and services of the Company Secretary A Board-approved Governance Framework is in place enabling all Directors to access the Company Secretary with a view to ensuring that Board procedures and all applicable laws, directions, rules and regulations are followed. Directors have separate and independent access to the Company Secretary.	Complied
8.3	Delegating responsibilities to the Company Secretary Preparation of the agenda is delegated to the Company Secretary and is approved by the Chairman.	Complied
8.4	Maintaining minutes of the Board The Company Secretary maintains meeting minutes and circulates them to all Board members which shall be open for inspection at any reasonable time to any Director. Additionally, the Directors have access to past Board papers and minutes through a secure electronic link. The Company Secretary maintains minutes with all submissions for a minimum period of six (6) years.	Complied

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8.5	Maintenance of Board minutes in an orderly manner The Company maintains meeting minutes in an orderly manner and follows the proper procedures laid down in the Articles of Association of the Company.	Complied
8.6	Recording minutes of Board meetings with sufficient details The Company Secretary maintains Board minutes with sufficient details. The Board meeting minutes included the minimum of the following to assess whether the Board has acted with due care and prudence in performing its duties; a) Data and information used by the Board in its deliberations, b) Matters considered by the Board, c) Fact-finding discussions and issue of contentions or dissent, d) Explanations and confirmations from relevant parties on compliance of strategies, policies, laws, regulations and directions, e) Board's understanding and knowledge on company related risks and risk management measures adopted, f) Decisions and resolutions.	Complied
8.7	Inspection of minutes Board approved Governance Framework includes provisions to inspect Board minutes by Directors.	Complied
9	DELEGATION OF FUNCTIONS BY THE BOARD	
9.1	Delegation of Authority Board approved delegation of authority is in place to give clear directions to the Senior Management, as to the matters that can be approved by the Board before decisions are made by the Senior Management, on behalf of the Company. The policy on delegated authority was last reviewed and approved by Board in January 2024.	Complied
9.2	Absence of Board Sub Committees All the required Sub Committees are in place with Board approved TOR as required by the direction.	Complied
9.3	Senior Management Committees The Board has established management level committees such as ALCO, Credit Committee, ITSSC, Sustainability Committee, Business Continuity Management Steering Committee to assist Board in effective decision making. Refer Management Committees, related tasks and composition on page 172.	Complied
9.4	Delegation of matters to Sub Committees, Executive Directors or Senior Management Board approved Governance Framework includes key areas assigned for the Board which cannot be delegated to Board Sub Committees, Executive Directors or Senior Management. Refer the governance report on pages 164 to 178 for details.	Complied
9.5	Periodic review of authority delegation process Delegation arrangements are reviewed periodically to ensure that they remain relevant to the needs of the Company. The delegated authority was last reviewed and approved by Board in January 2024.	Complied

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10	BOARD SUB-COMMITTEES	
10.1	Board Sub-Committees on asset base	
	FCs with asset base of more than Rs. 20 bn	
a)	Establishment of Board Sub Committees Sub-committees The Following Committees have been appointed by the Board and each such committee is required to report to the Board. 1. Board Audit Committee on page 188 2. Board Integrated Risk Management Committee on page 192 3. Board Nomination and Governance Committee on page 194 4. Board Human Resource and Remuneration Committee on page 196 5. Board Related Party Transactions Review Committee on page 198 Recommendations of these committees are addressed directly to the Board and minutes of meetings are tabled and discussed at the Board meeting. Meetings Meetings are held as defined in the direction or more frequently as per the respective TOR of the Sub-Committee. BAC meetings are held on monthly basis and BIRMC meetings are held on every other month. All other committees met more frequently than mandated in this direction.	Complied
b)	Terms of reference Board Approved TOR is available for each Board Sub Committee which clearly specified its authorities and duties.	Complied
c)	Report on performance of duties and functions of Sub Committees The Company has presented report on the performance, duties and functions of each Committee in the Annual report for the financial year 2023/24 Refer respective Board Sub-Committee reports for more details on pages 188 to 202	Complied
d)	Appointment of a Secretary to Sub Committees Company Secretary functions as the Secretary for the Board Sub Committees. Meetings for each committee are scheduled and informed to the committee members at the beginning of each calendar year. The minutes and submissions are maintained by the secretary under the supervision of the chairperson of each committee.	Complied
e)	Minimum number of Directors of each Sub Committee Each Committee comprises at least three (3) Board members who possess skills, knowledge and experience relevant to the responsibilities of the Board Sub Committees. Composition of the Board Sub Committees are disclosed in the page 171 of the annual report.	Complied
f)	Occasional rotation of members Occasional rotation of members and Chairpersons of the Board Sub Committees are considered as and when required.	Complied
10.2	Board Audit Committee	
a)	The Chairperson of the Board Audit Committee Chairperson of the Committee is a Non-Executive Director who possesses necessary qualifications and experience in accountancy and auditing. Refer Profiles of the Board of Directors on pages 156 to 160. The BNGC is in the process of fulfilling the requirement of appointing an independent Non-Executive Director as the Chairperson of the BAC subject to transitional provisions applied till 01/07/2024 of this direction.	Requirement will be fulfilled before the deadline

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b)	Composition of BAC All three (3) members of the Committee are Non-Executive Directors out of which two (2) of them are Independent. All committee members carry necessary qualifications and experience relevant to the scope of BAC. Refer profiles of the Board of Directors on pages 156 to 160.	Complied
c)	Secretary of the Board Audit Committee Chief Internal Auditor will be appointed as the Secretary to the Committee subject to transitional provisions applicable till 01/07/2024.	Requirement will be fulfilled before the deadline
d)	External Audit Function	
i)	Appointment of the External Auditor The BAC has recommended the reappointment of M/s Ernst & Young, Chartered Accountants as External Auditor for audit services for the period of 2023/24 subject to the provisions stipulated in this direction. The application of accounting standards in consultation with the Chief Financial Officer and External Auditors, the service period, audit fees, resignation or dismissal of an auditor, re-engaging the audit partner in line with the regulatory requirements.	Complied
ii)	Service period of the External Audit Firm and Audit Partner Engagement period of current audit partner is 1 year. The BAC, after evaluating several proposals of leading audit firms, has selected a leading audit firm to perform the external audit function for the period of 2024/25. Engagement with new External Audit firm will be completed before the transitional provisions expire on 01/07/2024.	Requirement will be fulfilled before the deadline
iii)	The External Audit Partner Audit Partner is not a Director or employee and does not hold any Senior Management position of the Company. A declaration has been obtained confirming that the audit partner does not hold any shares of the Company.	Complied
iv)	Independence and objectivity of External Auditor and effectiveness of the audit process The External Auditor has provided an independent confirmation in compliance with the guidelines for appointment of auditors of listed companies. Also, self-declaration was provided by the auditor on their independence at before commencement and after completion of the audit. In order to safeguard the objectivity and independence of the External Auditor, the BAC reviewed the nature and scope taking in to account of the regulations and guidelines.	Complied
v)	Provision of non-audit services by the External Auditor The BAC with the approval of the Board of Directors developed and implemented a policy for engagement of auditors to provide non-audit services in order to ensure that the non-audit services do not impair the independence and objectivity of the External Auditor. The said policy addresses the skills and experience of the auditor, treatments to independence, objectivity and fee for the non-audit services was last reviewed and approved by the Board in June 2023.	Complied
vi)	Determine the nature and scope of the audit The Auditors make a presentation at the BAC meeting with details of the proposed audit plan and the scope including assessment of company's compliance with regulatory requirements and internal controls over financial reporting, preparation of financial statements in conformity with relevant accounting principles and reporting obligations, and co-ordination between the other Auditor of the Group. Members of the BAC obtain clarifications in respect of the contents of the presentation, if deemed necessary.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
vii)	Review of financial information of the Company by the Board Audit Committee Annual and quarterly financial statements are circulated well in advance to the BAC. A detailed discussion focused on major judgement areas, changes in accounting policies and practices, significant audit judgements in the financial statements, going concern assumptions and compliance with accounting standards and other legal requirements takes place and required clarifications are obtained in respect of all areas before being recommended for Board approval.	Complied
viii)	Discussion of issues, problems and reservations arising from the interim and final audits The BAC met the External Auditors without the presence of the Executive Directors and Senior Management in two (2) times during the financial year 2023/24 to discuss issues, problems and reservations arose during the audit.	Complied
ix)	Review of External Auditor's management letter and management response The BAC has reviewed the management letter for year 2022/23 and Senior management responses thereto at very next BAC monthly meeting, but not later than three months of its submission, and reported to the Board.	Complied
e)	Review of effectiveness of the system of internal controls A process is in place to obtain self-declaration from the respective process owners on the internal controls put in place to mitigate the potential risks. Risk management department reviews the control assessment forms prepared by each process owner, and the BAC, through Internal Audit Department, validates the compliance and effectiveness of the Internal control system of the Company. A report of such review is included in the pages 204 to 205 in the annual report of the Company.	Complied
f)	Senior Management taking necessary corrective actions on findings made by auditors and supervisory bodies Internal control weaknesses, non-compliance with policies, laws and regulations, and other discrepancies identified by the External Auditor, supervisory bodies and the Internal Audit function. The Committee continuously follows up the Management letter and other reports issued by the regulatory bodies, internal and external auditors to ensure that necessary corrective actions are taken to address any internal control weaknesses, non-compliance with policies, laws and regulations.	Complied
g)	Internal Audit function	
i)	Establishment of an independent Internal Audit Function A fully-fledged Internal Audit Department (IAD) is in place to provide independent assurance to the committee on the quality and effectiveness of the existing internal control systems of the Company, risk management, governance practices and processes.	Complied
ii)	Mandate, independence and reporting line of Internal Audit Function The Chief Internal Auditor directly reports to the BAC. Internal Audit function have a clear mandate to carry out its functions within the Company. The BAC reviews and ensures that Internal Audit function has sufficient expertise and authority to carry out its work independently, effectively and objectively. A Board approved Internal Audit procedure manual is in place for effective discharging of its duties. The Internal Audit procedure manual was last reviewed and approved by the Board in August 2023.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
iii)	Review of internal audit function The BAC has reviewed the information provided in the risk- based audit plan and concluded that scope, functions, skills and resources of the Internal Audit Department (IAD) are sufficient to carry out its functions. The Committee ensured that the internal audit function is independent of the activities it audits and provided necessary authority to perform its duties effectively and objectively. The BAC has reviewed and approved the Internal Audit Plan for the Financial Year. The Committee meets at monthly intervals to effectively discharge its duties. The Committee reviewed and discussed the Internal Audit programs and reports tabled by the Chief Internal Auditor and ensured that appropriate action is taken by the management on the Internal Audit recommendations. Relevant Senior Management personnel are invited for such discussions. The Committee follows up through the IAD until the matters are being remediated as per the action plan. BAC has evaluated the performance of Chief Internal Auditor and senior staff members who are one level below Chief Internal Auditor during the year. The BAC ensured the independence of the Internal Audit function from the activities it audits and ensured that audits are conducted with impartiality, proficiency, and due professional care and confidentiality was maintained throughout the audit process. The Internal Audit Department staff reports directly to the Chief Internal Auditor, who in turn reports directly to the BAC. All these aspects are clearly covered in the Internal Audit Procedure manual to establish uniformity in all engagements. Periodic reviews are conducted by the IAD on regulatory reporting to regulatory bodies such as CBSL, FIU, IRD. Annual Audit plan included the reviewing of Compliance function during the year. Whenever a need arises, the BAC and Senior Management assign special internal investigations on certain matters to the Internal Audit Department and reviews major findings with the management responses thereto and ensures that the recommendations are implemented.	Complied
h)	Review of statutory examination reports of CBSL The progress of implementing the time-bound action plan on statutory investigation report issued by CBSL (on-site investigation report) has been reviewed at its monthly meetings by BAC and ensured whether corrective actions are taken in a timely and effective manner.	Complied
i)	Meetings of the Committee	
i)	Meetings of the Board Audit Committee The BAC meeting dates were agreed to by Committee members in advance for the calendar year. The Committee meets regularly, at least monthly, and the agenda, minutes and all other Committee papers are uploaded through a secure link to iPad for Committee members to access seven days prior to the BAC meetings. The minutes of the meetings are recorded and maintained by the Company Secretary. All matters discussed are duly recorded in detail including the conclusions made in discharging Committees duties and responsibilities. The Committee has met thirteen (13) times during the year and the attendance at those meetings is set out on Attendance Matrix of the Board and Board Sub Committees page 174.	Complied
ii)	Participants of the Board Audit Committee meetings In addition to the Members of the BAC, MD/ CEO, Executive Directors, Chief Internal Auditor and Chief Financial Officer attended to the meetings by invitation. Other Senior Management personnel attended the meetings by invitation, when a related matter is taken up for discussion.	Complied
iii)	Private Meetings with the External Auditor Two (2) meetings were held with the External Auditors during the year without the presence of any other Directors, Senior Management or employees.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
10.3	Board Integrated Risk Management Committee (BIRMC)	
a)	Composition of Board Integrated Risk Management Committee The Chairman of the Committee is an Independent Non-Executive Director. The Committee consists of three (3) Non-Executive Directors with sufficient knowledge and experience in banking, finance, risk management and practices. Majority of the Committee members are Independent Non-Executive Directors. The CEO/MD, Executive Directors, Assistant General Manager – Risk Management (AGM-RM) and relevant Senior Management personnel attend by invitation. The Committee closely work with Senior Management personnel and makes decisions on behalf of the Board within the Board approved Terms of Reference of the Committee.	Complied
b)	Secretary of the Board Integrated Risk Management Committee AGM-RM functions as the Secretary to the Committee.	Complied
c)	Risk Assessment The Committee has Board approved policies on credit risk management, operational risk management and overall enterprise risk management which provide a framework for management and assessment of risk. Reports on quantitative as well as qualitative risks are presented on every other month to the Board through BIRMC incorporating appropriate risk indicators, management information and make recommendations on risk strategies and risk appetites. Refer the BIRMC report on page 192 for more details.	Complied
d)	Development of a Risk Appetite Statement (RAS) Board approved RAS is in place which identifies the risk tolerance limits of the Company. RAS includes quantitative measures in relation to earnings, capital, liquidity etc. The RAS defined the boundaries and business considerations which the Company expected to operate. Risk appetite is monitored by the AGM-RM regularly and reports to the BIRMC any identified risks. A dedicated Compliance Officer is in place at Senior Management level to provide assurance to the Board through BIRMC on statutory, regulatory and other compliance related matters. The risks relating to compliance, money laundering and unethical practices are also considered and discussed at the meetings.	Complied
e)	Review of Risk policies and Risk Appetite Statement Risk policies and RAS are reviewed by the BIRMC on an annual basis. All risk related policies including RAS recommended by BIRMC have been reviewed and approved by the Board during the year.	Complied
f)	Review the adequacy and effectiveness of Senior Management level Committees The Committee reviews the adequacy and effectiveness of Senior Management level committees to address specific risks and manage those risks within quantitative and qualitative risk limits as specified by the committee. Refer Senior Management level committees and its' tasks and composition on page 172.	Complied
g)	Assessing of all aspects of risk management including Business Continuity and Disaster Recovery Plans The Committee has reviewed all risk management aspects of the Business Continuity Plan and Disaster Recovery Plan during the year. Refer BIRMC Report on page 192 for more details.	Complied
h)	Assessment of performance of Compliance Officer and Chief Risk Officer The Committee assessed the performance of the Compliance Officer and AGM - RM during the year.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
i)	Compliance function	
ii)	Independent Compliance function Independent Compliance function is in place with adequate resources to assess the Compliance with laws, regulations, rules, directions, regulatory guidelines and Board approved policies on the Business operations.	Complied
ii)	Appointment of a dedicated Compliance Officer (LFCs with asset base more than Rs. 20 Bn) A Senior Management Officer with appropriate seniority has been designated as the Company's Compliance Officer. This Compliance Officer reports directly to the BIRMC and does not engage in any management, operational activities, or income-generating functions while fulfilling his role as the Compliance Officer. The Board approved Compliance Policy is in place to govern the Compliance function of the Company.	Complied
iii)	Appointment of a dedicated Compliance Officer (LFCs with asset base less than Rs. 20 Bn) Not applicable	Not applicable
iv)	Responsibilities of the Compliance Officer The Job Description (JD) of the Compliance Officer has been reviewed by the BIRMC in Compliance with in this direction and best practices. The Compliance Officer's JD and Compliance Policy cover mainly the following; • Minimizing the regulatory risk by developing and implementing policies and procedures. • Establishing Compliance culture through proper communication • Regular reviews on regulatory rules and internal Compliance standards • Applying new legal and regulatory developments applicable to the Company • Early involvement in ensuring conformity with regulatory, internal Compliance and ethical standard requirements when designing new products or systems. • Addressing serious or persistent compliance issues within acceptable timeline, in concurrence with the management • Maintaining good working relationship with the regulators.	Complied
j)	Risk Management Function	
i)	Establishment of an independent risk management function The BIRMC has established an independent risk management function for managing risk-taking activities across the Company.	Complied
ii)	Risk Management department and dedicated Chief Risk Officer Separate risk management department is established with a dedicated AGM – RM to carry out risk management function and report to the BIRMC periodically.	Complied
iii)	Implementing the risk management policies and processes including RAS The AGM – RM of the Company has taken measures to implement the Risk management policies and monitor the Risk Appetite based on the Board approved RAS. The AGM – RM ensures that Company's risk management function is robust and effective to support the strategic objectives to fulfill stakeholder objectives.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
iv)	Developing and implementing a Board approved integrated risk management framework The Committee has Board approved policies on credit risk management, operational risk management and overall enterprise risk management which provide a framework for management and assessment of risks. Accordingly, regular reports on quantitative as well as qualitative risks are being reviewed by the Committee in discharging its responsibilities as per the terms of reference. The risk management framework covers: potential risks and frauds, possible sources of such risks and frauds, process of identifying, assessing, monitoring and reporting risks, controls and mitigating factors and accountabilities. The BIRMC reviews and updates the framework at least on annual basis.	Complied
v)	AGM – RM participating in decision making related to capital and liquidity planning and new product/service development AGM – RM participates for ALCO meetings where capital and liquidity is planned. Further, new products and services are reviewed by AGM – RM in order to identify and mitigate the risks.	Complied
vi)	Maintaining a Risk Register The updated risk register is submitted to the BIRMC on each BIRMC meeting which will be held on every other month.	Complied
vii)	Submission of risk assessment report by BIRMC to the Board meeting The Committee had kept the Board informed of their risk assessment of the Company by forwarding a risk report for upcoming Board meeting seeking Board's views and directions.	Complied
10.4	Board Nomination Committee (BNC)	
a)	Composition of the BNC The Board has established Board Nomination and Governance Committee (BNGC) which comprised three (3) Non-Executive Directors out of whom majority are independent. Independent Non-Executive Director was appointed as the Chairman of the Committee. The CEO/MD attended the meeting by invitation.	Complied
b)	Secretary of the BNC The Company Secretary functions as the Secretary to the BNGC.	Complied
c)	Formal and transparent procedure to select/appoint new Directors and Senior Management A formal and transparent procedure to select/appoint new Directors and Senior Management to be developed subject to transitional provisions. The Senior Management are appointed with the recommendation of relevant Executive Directors and the CEO/MD, except CIA, AGM – RM and Compliance Officer.	Requirement will be fulfilled before the deadline
d)	Fitness and Propriety of Directors and Senior Management Fitness and propriety for Board of Directors are evaluated on an annual basis and for Senior Management fitness and propriety is evaluated at the time of appointment, promotion, renewal of contracts or on lateral moves. Process of reviewing fit and propriety of Directors and Senior Management are closely monitored by the BNGC.	Complied
e)	The selection process of Directors The criteria set out in this direction are considered at the selection and recommendation process of Directors by the BNGC and the Board.	Complied
f)	Board composition is not dominated by any individual or a small group of individuals The Committee regularly reviewed and ensured that the composition of the Board does not dominate by any individual or a group of individuals in a manner that is detrimental to the interest of the stakeholders of the Company.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
g)	Setting off of criteria on qualification, experience and key attributes required to be appointed to the post of MD/CEO, Executive Directors and Senior Management Qualifications, experience and key attributes required for eligibility for the appointment to the post of MD/CEO, Executive Directors and Senior Management positions to be developed subject to transitional provisions. However, when recommending to the Board, the Committee ensured the availability of adequate qualifications, experience, skills and key attributes required for eligibility to discharge duties as MD/CEO, Directors and Senior Management personnel.	Requirement will be fulfilled before the deadline
h)	Disclosures to shareholder upon the appointment of a new Director Details of new Directors are disclosed to the shareholders at the time of their appointment by way of announcements made to the Colombo Stock Exchange (CSE) as well as in the Annual Report. Prior approval for appointment of new Directors is obtained from the Director of Department of Supervision of Non-Bank Financial Institutions of Central Bank of Sri Lanka. All new appointments are reviewed and recommended to the Board by the Committee. However, no new appointments were made to the Board during the year.	Complied
i)	Re-election of current Directors The Committee makes recommendations to the Board considering that the combined knowledge of the Board existed, performance towards strategic demand faced by the Company and contribution made by each Director towards discharge of Board's overall responsibilities.	Complied
j)	Additional/new expertise and the succession arrangements for retiring Directors and Senior Management Board approved succession plan for MD/CEO, Executive Directors and Senior Management is in place. The committee periodically reviews and updates the plan where necessary.	Complied
k)	Participating in decision making relating to own appointment/reappointment The members of the BNGC do not participate in decision making relating to own appointments or reappointments. Further, Chairman of the Board abstains from the meeting when matters related to his successor is discussed.	Complied
10.5	Board Human Resource and Remuneration Committee	
a)	Composition of the Board Human Resource and Remuneration Committee (BHRRRC) The Board has established BHRRRC of which all the three (3) members are Non-Executive Directors and two (2) out of three committee members are Independent Directors. The Committee is chaired by Independent Non-Executive Director.	Complied
b)	Secretary of the BHRRRC The Company Secretary functions as the Secretary to the Committee.	Complied
c)	Remuneration Policy for MD/CEO, Directors and Senior Management The Committee determines the remuneration policy relating to MD/CEO, Executive Directors and Senior Management. Fees and allowances of Non-Executive Directors are decided by the Board of Directors as a whole. Refer BHRRRC Report on page 196 for more details on the remuneration policy of the Company	Complied
d)	Formal and transparent procedure in developing the remuneration policy. The remuneration policy has been developed to achieve fair and equitable benefits with transparent guidelines. The policy was recommended by the Human Resource and Remuneration Committee and approved by the Board of Directors. Refer Board Human Resource and Remuneration Committee Report on page 196 for more details.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
e)	Remuneration policy for employees of the Company The Remuneration Policy is reviewed periodically and recommended by the Committee for the approval of the Board on paying salaries, allowances and other financial incentives for employees of the Company.	Complied
f)	Remuneration structure to be in line with the business strategy, objectives, values, long-term interests and cost structure of the Company The remuneration structure is in line with the business strategy, objectives, values, long-term interests and cost structure of the Company and it also incorporated measures to avoid conflict of interest. The Committee is mindful to abstain from incentivising employees for taking excessive risks or act in self-interests.	Complied
g)	Review of performance of Senior Management by BHRRC The performance of the Senior Management (excluding CIA, Compliance Officer and AGM - RM) against the set targets and goals will be reviewed by the Executive Directors subject to transitional provisions. However, effective annual evaluation process is in place to determine the basis for revising remuneration and other performance-based benefits for the Senior Management.	Requirement will be fulfilled before the deadline
h)	Senior Management abstain from attending meetings when matters related to them are being discussed Respective Senior Management Personnel shall abstain from attending meetings, when matters related to them are discussed. The Committee reviewed and ensured the Compliance of such requirement.	Complied
11	INTERNAL CONTROLS	
11.1	Adopting a well-established internal control system Well established internal control system is in place which includes Board approved organization structure and segregation of duties, clear reporting lines for management and operational procedures and policies for all the required areas of the Company in order to mitigate the operational risks. A process is in place to ensure the effectiveness of the company's internal control system. Refer the Directors' Statement on Internal Control on page 204. Refer the organization structure on page 358 for further details.	Complied
11.2	Expected outcomes of an internal control system The Board has established a comprehensive internal control system which ensured the promoting effective and efficient operation, providing reliable financial information, safeguarding the company's assets, minimizing the operational risks, ensuring effective risk management system and ensuring compliance with laws, regulations, directions and internal policies and procedures. The Board ensured the effectiveness and compliance of the internal control mechanism through various processes as discussed in Directors' Statement on Internal Control on page 204 and the External Auditor has provided an independent assurance on the Directors' Statement on Internal Control over Financial Reporting on page 204 in the Annual Report.	Complied
11.3	Responsibilities of employees on internal control All employees were made accountable and responsible for internal controls as part of their routine functions through the various policies and procedures of the Company. Adherence to the Board established internal controls are monitored by the Board through IAD.	Complied
12	RELATED PARTY TRANSACTIONS	
12.1	Policy and procedures for Related Party Transactions A Board approved policy for Related Party Transactions is available to govern the related party transactions.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
a)	Composition of the Board Related Party Transactions Review Committee (BRPTRC) The Board has appointed a BRPTRC in conformity with the direction. The Committee comprised of three (3) Non-Executive Directors of which majority are Independent. The Committee is also chaired by an Independent Non-Executive Director.	Complied
b)	Prior review and approval of Related Party Transactions (RPT) The Board approved policy is in place to govern the Related Party Transactions. As defined in the Policy, all Related Party Transactions are prior reviewed and recommended by BRPTRC.	Complied
c)	Types of Related Party Transactions Board approved RPT Policy outlines the transactions that can be carried out by the Company to avoid any non-compliance and conflicts of interest. The RPT policy includes a comprehensive list of transaction types including the type of transactions listed in this direction.	Complied
12. 2	Avoiding conflicts of interest with list of identified Related Parties The BRPTRC ensures that the transactions with Related Parties are in accordance with best practices. The RPT Policy is in place which describes the related parties, types of related party transactions and stipulates that no Director shall participate in any discussion of a proposed related party transaction for which he or she is a related party, provided however he or she may participate in discussion to express, propose and providing information concerning to Related Party Transaction to the committee. A system for monitoring and reporting of data pertaining to such transactions has been established and through that system, the Company ensures that no favourable transaction has been entered in to with such parties. All transactions carried out with Related Parties are reviewed by the committee and ensured that they are in the ordinary course of business (Recurrent transactions). Such transactions are disclosed in the financial statements on 'Related Party Disclosures' under Note 3.1 on page 318. The BRPTRC has identified a list of related parties in compliance with this direction and periodic reviews are conducted as and when need arises.	Complied
12.3	Engage in business transactions with related parties with more favorable treatments The Board-approved Related Party Transactions Review Policy contains provisions to ensure compliance and the BRPTRC ensures that all the transactions with related parties are on arm's length basis. The Company has developed a separate system to monitor related party transactions to ensure that related party transactions are not entered into on more favorable terms than those offered to others, and approvals of the BRPTRC/Board are obtained for all transactions before entering in to the transactions.	Complied
13	GROUP GOVERNANCE	
13.1	Responsibilities of the FC as a Holding Company	
a)	Exercising adequate oversight over Subsidiaries and Associates The Group consists of 2 subsidiary companies, Multi Finance PLC and LB Microfinance Myanmar Company Limited. The Board approved governance framework provide guidelines on the responsibilities of the company to oversight the affairs of subsidiary companies. Adequate oversight in place to ensure the compliance with independent legal, regulatory and governance responsibilities applicable to them.	Complied
b)	Responsibility of Board of the LBF as Parent Company	
i)	Group Governance Framework The Board approved Governance Framework clearly defines the roles and responsibilities for the oversight and implementation of group-wide policies.	Complied

CORPORATE GOVERNANCE

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
ii)	Content of the Group Governance Framework The differences in the operating environment including legal and regulatory requirements for each Company are properly understood by the Board and included in the group governance framework.	Complied
iii)	Reporting arrangements that promote the understanding and management of material risks and developments The reporting arrangement that promote the understanding and management of material risks and developments are included in the group governance framework.	Complied
iv)	Group internal control framework The Board assessed whether the internal control framework of the group has adequately addressed the risks across the group including intra-group transactions. Group IAD ensures the compliance of policies and procedures established across the group.	Complied
v)	Adequate resources are allocated to effectively monitor compliance at the group The compliance team of the parent company overlook the effectiveness and the compliance of legal and regulatory requirements in both parent and subsidiary companies.	Complied
c)	Group structure does not undermine its ability to exercise effective oversight/clearly defined process of approving the creation of new legal entities As apex entity, LBF ensured that group structure does not undermine the ability to exercise effective oversight. The Board has established clearly defined process through group governance framework to effectively discharge this direction.	Complied
d)	Board and Senior Management validate that the objectives, strategies, policies and Governance Framework set at the group level are fully consistent with the regulatory obligations of the company The Board approved objectives, strategies, policies and governance framework are fully consistent with the regulatory obligations of the company. Further, through the BIRMC, the Board ensure that company specific risks are identified and addressed adequately.	Complied
e)	Avoiding setting up complicated structures The Company has not set up complicated group structure that lack economic substance or business purpose that can considerably increase the complexity of the operations.	Complied
13.2	The company is a subsidiary of another financial institution subject to prudential regulation Company is not a subsidiary of another financial institution	Not applicable
14	CORPORATE CULTURE	
14.1	Code of Conduct Board approved Code of Conduct and Conflict of Interest Policies are in place issuing guidelines on appropriate conduct on confidentiality, conflict of interest, integrity of reporting, protection and proper use of Company assets and fair treatment of customers.	Complied
14.2	Records of breaches of Code of Conduct If a breach of the Code of Conduct is reported, the Company maintains records on such breaches of Code of Conduct.	Complied
14.3	Whistleblowing Policy The Company has a Board-approved Whistleblowing Policy whereby employees of the Company are entitled to raise concerns in confidence about the malpractices in the Company. The BAC ensures that a proper process is in place in line with the Board approved policy for a fair and independent investigation and appropriate follow-up action on such matters. The compliance officer reports confidentially on quarterly basis to the BAC on incidents reported together with action taken. The Whistleblowing Policy has been reviewed and revised by the Board on March 2023 and communicated to the staff in all three languages.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS								
15	CONFLICTS OF INTEREST									
15.1	Avoiding Conflicts of Interest									
a)	Avoiding Conflicts of Interest by Directors A Board approved conflict of interest policy is in place that covers the stipulated requirements. Article 97 of Articles of Association on 'Restrictions on Voting' evidences the procedure for a Director to abstain from voting on any Board resolution when there is conflict of interest and he/ she is not to be counted in the quorum. The Company Secretaries obtained disclosure of interest from Directors at every Board meeting and conflict of interest (if any) is managed based on this statement. Directors abstain from voting in such a situation and they are not counted in the quorum.	Complied								
b)	Conflicts of Interest Policy A Board approved Conflicts of Interest Policy is in place covering all aspects of this directions and best practices.	Complied								
16	DISCLOSURES									
16.1	Preparation of annual and periodic financial statements and publishing them in newspapers in Sinhala, Tamil and English Annual audited financial statements and periodical financial statements are prepared and published in accordance with the formats prescribed by the regulatory and supervisory authorities and applicable accounting standards. Further, such statements are published in the newspapers in Sinhala, Tamil and English.	Complied								
	Minimum disclosures in the Annual Report of the Company									
i)	Financial statements Compliance with applicable accounting standards and regulatory requirements have been reported under the Annual Report of the Board of Directors on the Affairs of the Company on page 179 and Statement of Directors' Responsibility for Financial Reporting on page 203.	Complied								
ii)	Chairperson, CEO and Board related disclosures Details of the Directors are given in the Profiles of the Board of Directors on pages 156 to 160. Details of the Senior Director is stated on page 158 Attendance of Board Meetings and Sub-Committee meetings are given on page 174.	Complied								
iii)	Appraisal of Board performance The performance evaluations of the Board and the Sub-Committees have been completed based on the pre-agreed objectives. Details on performance evaluation of Board and Sub-Committees are disclosed in Corporate Governance report on page 177.	Complied								
iv)	Remuneration policy A statement on Remuneration Policy has been disclosed in Board Human Resource and Remuneration Committee Report appeared on page 196 of the Annual report. Aggregate remuneration paid to Directors and Senior Management <table><tr><td></td><td>2023/24</td></tr><tr><td></td><td>Rs.000</td></tr><tr><td>Directors</td><td>665,189</td></tr><tr><td>Senior Management</td><td>111,071</td></tr></table>		2023/24		Rs.000	Directors	665,189	Senior Management	111,071	Complied
	2023/24									
	Rs.000									
Directors	665,189									
Senior Management	111,071									

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS																																						
v)	Related Party Transaction Nature of any relationship between Chairman and MD/CEO and the relationships among the members of the Board Refer the Annual report of the Board of Directors on the Affairs of the Company on pages 179 to 187. Net Accommodations Granted to Related Parties <table><tr><th>Category of related party transactions</th><th colspan="3">2023/24 (Rs.'000)</th></tr><tr><th></th><th>Net Accommodation granted</th><th>Net Accommodation outstanding as at 31 March 2024</th><th>Percentage of the core capital</th></tr><tr><td>1 Directors and Senior Management</td><td>46,646</td><td>8,620</td><td>0.02%</td></tr><tr><td>2 Shareholders who directly or indirectly holds more than 10% of the voting rights of the Company</td><td>-</td><td>-</td><td>-</td></tr><tr><td>3 Subsidiaries, Associates, Affiliates, Holding Company, Ultimate parent Company and any other party that Company exert control over or vice versa</td><td>-</td><td>-</td><td>-</td></tr><tr><td>4 Directors and Senior Management of legal persons above 2 & 3</td><td>500</td><td>-</td><td>-</td></tr><tr><td>5 Relatives of a natural person described in 1, 2 and 4</td><td>3,160</td><td>3,549</td><td>0.008%</td></tr><tr><td>6 Any concern in which any of the Director, Senior Management or a relative of any of the Company's Director or Senior Management or any of its shareholders who has a shareholding directly or indirectly more than 10% of the voting rights has a substantial interest</td><td>-</td><td>-</td><td>-</td></tr></table> Aggregate value of transactions with Senior Management <table><tr><th>For the year ended</th><th>2023/24 Rs. '000</th></tr><tr><td>Accommodations granted</td><td>12,146</td></tr><tr><td>Deposits/investments made</td><td>55,607</td></tr></table>	Category of related party transactions	2023/24 (Rs.'000)				Net Accommodation granted	Net Accommodation outstanding as at 31 March 2024	Percentage of the core capital	1 Directors and Senior Management	46,646	8,620	0.02%	2 Shareholders who directly or indirectly holds more than 10% of the voting rights of the Company	-	-	-	3 Subsidiaries, Associates, Affiliates, Holding Company, Ultimate parent Company and any other party that Company exert control over or vice versa	-	-	-	4 Directors and Senior Management of legal persons above 2 & 3	500	-	-	5 Relatives of a natural person described in 1, 2 and 4	3,160	3,549	0.008%	6 Any concern in which any of the Director, Senior Management or a relative of any of the Company's Director or Senior Management or any of its shareholders who has a shareholding directly or indirectly more than 10% of the voting rights has a substantial interest	-	-	-	For the year ended	2023/24 Rs. '000	Accommodations granted	12,146	Deposits/investments made	55,607	Complied
Category of related party transactions	2023/24 (Rs.'000)																																							
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For the year ended	2023/24 Rs. '000																																							
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vi)	Board appointed Committees Details of Chairperson, members and the attendance of the below mentioned Sub-Committees are stated in Attendance Matrix of the Board and Board Sub Committees on page 174 For more details refer respective Sub-Committee reports as follows. Board Audit Committee Report – page 188 Board Integrated Risk Management Committee Report – page 192 Board Nomination and Governance Committee Report – page 194 Board Human Resource and Remuneration Committee Report – page 196 Board Related Party Transaction Review Committee Report – page 198 Board Information Security Committee Report – page 200 Board Sustainability Committee Report – page 202	Complied																																						

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
vii)	Group structure The Group Structure of the Company is stated on page 11. The Group Governance Framework is disclosed in Corporate Governance report on page 167 of the annual report.	Complied
viii)	Director's report Refer Annual Report of the Board of Directors on the Affairs of the Company on pages 179 to 187 for the following disclosures; • Declaration on not engaging in any activity, which contravenes laws and regulations • Director's declaration on all RPT with the Company and abstained voting • Fair treatments to all stakeholders, in particular the depositors • Going concern supporting assumptions • Review of internal controls covering material risks to the Company and have obtained reasonable assurance	Complied
ix)	Statement on Internal Control Report by the Board on internal control mechanism of the Company that confirms the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting – Directors' Statement on Internal Control on page 204. External Auditor's Assurance statement on effectiveness of the internal control mechanism – Independent Assurance Report to the Board of Directors on page 206. Report on compliance with prudential requirements, regulations, laws and internal controls – Directors' Statement on Internal Control on page 204. A penalty of Rs. 700,000/- was imposed by the Financial Intelligence Unit of CBSL for not reporting certain transactions under Financial Transactions Reporting Act.	Complied
x)	Corporate Governance Report The Corporate Governance Report is set out on pages 164 to 178 of the Annual Report of the Company. The Company has obtained an independent assurance report from the External Auditors over compliance with Finance Business Act Direction No. 05 of 2021 on Corporate Governance	Complied
xi)	Code of Conduct A Board approved Code of Conduct for Directors and for all employees are in place. Refer Corporate Governance Report on page 176 for more details. There was no violations of any of the provisions of this code by the company. Refer page 398 for details.	Complied
xii)	Management report Refer "Management Discussion and analysis" on page 32 of this annual report.	Complied
xiii)	Communication with Shareholders The policy and methodology for communication with shareholders / the contact person for such communication. A Board approved Communication Policy is in place which covers all stakeholders including Depositors, Creditors, Shareholders, and Borrowers. The Board of Directors, officers, and employees comply with the policy in order to ensure effective communication for the best interests of all stakeholders The Company Secretary communicates with the shareholders through the Annual Report, Quarterly Reports, and by notices issued to the shareholders. More details on communications with shareholders are stated Corporate Governance Report on page 166.	Complied

CORPORATE GOVERNANCE

COMPLIANCE WITH CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE

Compliance with the Code of Best Practice on Corporate Governance 2023 (Code) issued by The Institute of Chartered Accountants of Sri Lanka

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
SECTION I	THE COMPANY	
A	DIRECTORS	
A.1	The Board The Board comprised ten (10) Directors as at 31st March 2024, six (6) of whom functioned in Non-Executive capacity, having the required professional competence, skills and experience in the fields of entrepreneurship, banking, finance, legal, IT, economics and marketing to lead and control the Company. The Board gives leadership in setting the strategic direction and implement sound control environment for the successful functioning of the Company. Directors are elected by shareholders at the AGMs with the exception of the Executive Directors who are appointed by the Board and remain as Executive Directors until retirement, resignation or termination of such appointment. The Board has appointed several Sub Committees to assist in discharging Board's collective responsibilities.	Complied
A.1.1	Board Meetings The Board meets at monthly intervals and special Board meetings are convened whenever necessary. The Board met 13 times during the year. Attendance at meetings is summarized on page 174.	Complied
A.1.2	Roles & Responsibilities of the Board The Board engages in providing direction in formulating a sound business strategy and closely monitors the implementation of the strategy effectively. Well-defined strategy of the company provides a clear vision and direction for the business and enables to align the efforts and work towards common goals. A strategic plan has been developed covering three years from 2023/24 to 2025/26 and was approved by the Board. Mr. Ashane Jayasekara, Independent Non-Executive Director functions as the Senior Independent Director and provides strong leadership to the independent element of the Board. Board Human Resource and Remuneration Committee ensures that the MD/CEO and the Key Management Personnel (KMP) have the required skills, experience and knowledge to implement and sustain the strategy. An effective succession strategy has been reviewed and approved by the Board during the year. To enable the effective discharge of its stewardship, the Board has delegated its authorities to Sub Committees to overlook the specific responsibilities under the pre-agreed terms of references and operational responsibilities have been delegated to Senior Management led by CEO/MD within preapproved limits. The Board ensures the availability of effective systems to secure integrity of information, internal controls, business continuity planning, risk management, cybersecurity and compliance with laws, regulations and ethical standards. The Board is mindful about the all stakeholder interests and corporate values of LBF when corporate decisions are made. The corporate strategy, decisions and activities are aligned recognising the sustainable business development and ESG related risks and opportunities. Refer following reports for further insights in this regard. The Directors Statement on Internal Controls over Financial Reporting - page 204 The Corporate Governance report - page 164 The Integrated Risk Management report - page 208 The Board Audit Committee report - page 188 The Board Sustainability Committee report - page 202 Sustainability at LBF - page 56	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
A.1.3	Act in accordance with laws and seek professional advice The Board collectively and Directors individually, recognize their duty to comply with laws of the country. The Board of Directors ensures that procedures and processes are in place to ensure that LBF complies with all applicable laws and regulations. In order to preserve the independence of the Board and to strengthen the decision-making, the Board seeks independent professional advice when deemed necessary. The Governance Framework outline the procedure to be followed in obtaining independent professional advice.	Complied
A.1.4	Access to advice and services of Company Secretary All Directors have access to the Company Secretary, a company registered as a qualified Secretary, namely PW Corporate Secretarial (Pvt) Ltd. Their services are available to all Directors and they advise the Board on corporate governance matters, Board procedures and applicable rules and regulations. The Company Secretary is not employed in another capacity that may conflict with the same.	Complied
A.1.5	Independent Judgement All Directors are responsible for bringing independent judgment on issues of strategy, performance, resource allocation, risk management, statutory and regulatory compliance and standard of business conduct. Non-Executive Directors also provide independent judgment on the proposals made by the Managing Director and Executive Directors.	Complied
A.1.6	Dedicate adequate time and effort Every Director has dedicated adequate time and effort to the meetings of the Board and Sub-committee meetings to ensure that the duties and responsibilities are satisfactorily discharged and all the Board papers are uploaded through a secure link to the iPad at least seven days prior to the Board meetings for the Directors to access prior to the Board Meeting. Additional information and clarification requirements are made through the company Secretary and all matters that require follow up are discussed at the immediately succeeding Board meeting. The current process facilitates adequate time to familiarize with business operations, risks and controls	Complied
A.1.7	Calling of a resolution by 1/3 (one third) of the Directors If necessary, in the best interest of the Company, one-third of the Directors can call for a resolution to be presented to the Board. However, necessity did not arise during the year.	Complied
A.1.8	Board induction and training Every Director was given appropriate induction when first appointed to the Board with regard to the affairs of the Company and laws and regulations applicable to the Company. The Corporate Management and external experts make presentations with regard to the business environment to update the knowledge. Further strengthening the knowledge on Anti-money laundering and countering of Terrorist financing a comprehensive knowledge sharing session has been conducted by Financial Intelligence Unit of CBSL to LBF Board. The Board regularly reviews and agrees on the training and development needs of the Directors, to effectively discharge their duties. Due consideration is given by the newly appointed Directors on responsibilities of the role, ability to commit time, any existing or potential conflict of interest and required competencies.	Complied
A.2/A.2.1	Chairman and Chief Executive Officer The positions of Chairman and MD/CEO have been separated in line with the best practices and there is a clear division of responsibilities between two designations to ensure a balance of power and authority, such that no one individual has unfettered powers of decision. Independent Non-Executive Director, Mr. Ashane Jayasekara was appointed as Senior Independent Director with documented TOR to ensure a greater independent element in the Board.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
A.3/ A.3.1	Chairman's Role in preserving Good Corporate Governance The Chairman provides leadership to the Board, ensures that the Board works effectively and discharges its responsibilities and ensures that all key and appropriate issues are discussed by the Board in a timely and effective manner. The Chairman approved the detailed agenda for each meeting in consultation with MD/CEO, Directors and Company Secretary and ensures effective participation and balance of power between Executive and Non-Executive Directors to make their fullest contribution for the benefit of the Company. All Directors are encouraged to seek information considered necessary to discuss matters on the agenda of the meetings. The views of the Directors on issues under consideration are ascertained and a record of such deliberations reflected in the minutes. Further, the Board is in complete control of LBF's affairs and mindful of their obligations towards all stakeholders including shareholders.	Complied
A.4	Availability of Financial Acumen The Chairperson of the Board Audit Committee is a fellow member of The Chartered Institute of Management Accountants of UK (CIMA-UK) and the Chairman of the Board Integrated Risk Management Committee is a fellow member of The Institute of Chartered Accountants of Sri Lanka and also a fellow member of the CIMA-UK. Further, an Executive Director is also a qualified finance professional with experience in finance and management. The remaining members of the Board also possess experience in finance and banking. Thus, there is sufficient financial acumen and knowledge within the Board to offer guidance on matters of finance. The profiles of the Board of Directors are given on page 156 to 160.	Complied
A.5	Board Balance LBF set up a Board which has a balance of Executive and Non-Executive Directors that no individual or small group of individuals can dominate its decision making.	Complied
A.5.1	Balance of Executive and Non-Executive Directors in the Board The Board includes a strong presence of Non-Executive Directors of sufficient calibre. During the financial year under review, the Board comprised six (6) Non-Executive Directors and four (4) Executive Directors facilitating the required balance within the Board.	Complied
A.5.2	Strong independent element in the Board The Board has determined three (3) out of six (6) Non-Executive Directors are independent as at 31.03.2024 as per this Code. The BNGC is in the process of fulfilling this requirement before 01/07/2024.	Requirement to be complied
A.5.3	Evaluating independence of Directors The Board evaluates the independence yearly using annual declarations submitted by the Directors according to the Code criteria. This process ensures whether such Directors are independent of the management and free of any business or other relationship that could interfere with the exercise of their unfettered and independent judgment.	Complied
A.5.4	Signed declaration of independence by the Non-Executive Directors All Non-Executive Directors provided the signed declarations of independence for 2023/24 as per Schedule C of the Code. Based on the annual declarations submitted by the Directors, there are six (6) Non-Executive Directors and out of them, three (3) are independent.	Complied
A.5.5	Determination of the Independence and Non-Independence of each Non-Executive Director annually Independence of each Non-Executive Director has been reviewed by the Board during the year 2023/24 and has determined that the submission of the declaration by the Non-Executive Directors, as to their independence is a fair representation. The process of evaluating the independence of Non-Executive Directors has considered all criteria set out in the code and this will continue as an annual event.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
A.5.6	Appointing an Alternate Director No Alternate Directors were appointed during the year.	Not applicable
A.5.7	Appointing Senior Independent Director (SID) and confidential discussion with other Directors by the SID The roles of the Chairman and the CEO being held by two different individuals. Independent Non-Executive Director, Mr. Ashane Jayasekara was appointed as a Senior Independent Director since Chairman of the Board is a Non-Independent Non-Executive Director. Board approved TOR is available for the Senior Independent Director. SID met Non-Executive and Executive Directors at the Sub-Committee meetings and discussed matters related to Governance Framework of the company and updated the Chairman on the outcome of the discussions.	Complied
A.5.8	Availability of SID for confidential discussion with other Directors The SID makes himself available for confidential discussions with other Directors who may have concerns which they believed have not been properly considered by the Board as a whole. Also, the SID participates in all meetings with majority, significant and minority shareholders as and when necessary. However, no such incidents were occurred during the year. Refer the Report of Senior Director's (Senior Independent Director as per the definition of this code) on page 165 of this annual report.	Not applicable
A.5.9	Meetings held by the Chairman with Non-Executive Directors, without the Executive Directors being present The Chairman held two (2) meetings with Non-Executive Directors, without the Executive Directors being present.	Complied
A.5.10	Recording of concerns of Directors in Board minutes where they cannot be unanimously resolved There were no instances where the Directors could not unanimously resolve matters and accordingly no such matters were recorded in the minutes.	Not applicable
A.6	Provision of appropriate and timely information The Company provides timely and appropriate information to the Board enabling them in discharging their duties.	Complied
A.6.1	Management should provide timely information to the Board. The Chairman should ensure that all Directors are properly briefed on issues arising at Board meetings Timely and accurate information is provided by the Management to the Board generally seven days prior to the Board meetings. The members of Senior Management make presentations to the Directors on important issues relating to the financial performance, strategy, risk, systems and procedures, corporate governance matters, information technology developments, cybersecurity measures, legal and regulatory compliance. The Directors make further inquiries from management team, where necessary, to obtain further clarity on matters scheduled for discussions. Requested clarifications are obtained prior to the Board meetings to make effective decision making. The Chairman ensures that all Directors are properly briefed on matters arising at the Board meeting.	Complied
A.6.2	The minutes, agenda and papers required for a Board meetings should be provided before seven (7) days The minutes of the previous meeting, agenda and Board papers are uploaded through a secure link to the iPad for the Directors to access seven (7) days prior to the Board meeting.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
A.7	Appointments to the Board The Board has established a formal and transparent procedure for the appointment of new Directors to the Board. There were no new appointments to the Board during the year.	Complied
A.7.1	Nomination Committee The Board Nomination and Governance Committee makes recommendations to the Board on all new appointments to the Board. The Committee was set up in compliance with the requirements set out in this code and TOR of the committee is reviewed and approved by the Board. The committee comprised 3 Non-Executive Directors of whom majority are independent. The Chairperson of the committee is an Independent Non-Executive Director. The BNGC composition and the activities performed during the year are discussed in the report of the Board Nomination and Governance Committee is given on page 194 of the Annual Report.	Complied
A.7.2	Assessment of Board composition by the Nomination Committee A process is in place to assess the existing Board composition against pre-defined criteria of skills, diversity and knowledge to ensure that Board appointees are fit and proper. The Committee has actively prioritised diversity in Board composition, taking into account gender, age and any other factors that are relevant to the finance Industry. The Committee reviews the new appointments and re-elections to the Board with strategic direction of the Company to attract and retain Board members with relevant experience and qualifications and to ensure that Board appointees are fit and proper. The Committee complied with all the requirements stipulated in the section A.7.2 of this code.	Complied
A.7.3	Succession Plan Board approved succession plan is in place for CEO/MD and all Key Management Personnel. Necessary training and development requirements are identified for successors.	Complied
A.7.4	Disclosure requirements when appointing of new Directors to the Board Details of new Directors are disclosed to the shareholders at the time of their appointment by way of announcements made to the CSE as well as in the Annual Report. Prior approval for appointment of new Directors is obtained from the Director of Department of Supervision of Non-Bank Financial Institutions of Central Bank of Sri Lanka. All new appointments are reviewed by the committee.	Complied
A.7.5	Report of the Nomination Committee in the Annual report Requirements stipulated in this code are disclosed in the "Report of the Board Nomination and Governance Committee in page 194 of this annual report.	Complied
A.7.6	Terms of Reference of Nomination Committee Board approved Terms of Reference is in place for BNGC to oversee the nomination and governance functions of the Company.	Complied
A.8	Re-election of Directors All NEDs are required to submit themselves for re-election at regular intervals in line with Articles of Association of the Company.	Complied
A.8.1	Appointment and re-election of Non-Executive Directors Non-Executive Directors are appointed for a specified term subject to re-election and to the provisions in the Companies act in relation to the removal of the director and their re-appointment is not automatic. At each Annual General Meeting one-third of the Non-Executive Directors for the time being who are subject to retirement are re-elected by the shareholders.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
A.8.2	Re-election of Chairman and other Directors The provisions of the Company's Articles of Association also require Directors appointed by the Board to hold office until the next AGM and seek appointment by the shareholders at that meeting. When the Chairman and other Directors submit themselves for re-election or reappointment, minimal disclosures as defined in this code are made to all shareholders to make informed decisions on their election. The fitness and propriety of each Director are reviewed by the BNGC and make recommendations for re-election.	Complied
A.8.3	Resignation A process is in place, if a Director who wish to resign prior to completion of appointed term. However, there were no such resignations during the year.	Complied
A.9	Appraisal of Board & Sub Committees' Performance The Board has appraised their own performance through annual self-evaluation process in order to ensure that Board responsibilities are satisfactorily discharged.	Complied
A.9.1	Appraisal of Board performance The Board and Board appointed Sub-Committees annually appraise their own performance to ensure that they are discharging their responsibilities satisfactorily. This process requires each Director to fill Board Performance Evaluation Forms in line with this section of the Code. The responses are reviewed by the Company Secretary who collates them and submits it to the Chairman for necessary action as appropriate as decided by the Board.	Complied
A.9.2	Annual self-evaluation by the Board of its Sub Committees A formal process is in place for the Board and its Sub Committee to carry out self-evaluations to determine the effectiveness of their performance. The Board as a whole performed an annual self-assessment to evaluate the overall effectiveness of LBF Board according to the criteria set out alongside. The feedback from Directors is collated and reviewed by the Board and BNGC and conveyed to the Chairman of the Board for discussion at the Board meeting. All Sub Committees have performed self-evaluations of their performance during 2023/24 and areas identified for improvements are also discussed at their respective meetings and updated the Board by respective Chairperson.	Complied
A.9.3	Review of each Director at the time of re-election The Board has a process to review the participation, contribution and engagement of each Director at the time of re-election.	Complied
A.9.4	Disclosure in the Annual Report about the Board's performance evaluation methodology Board approved procedure is in place to evaluate the performance of Chairman, CEO/MD and other members of the Board and its sub-committees. The process adopted by LBF is detailed on page 177 of this report.	Complied
A.10	Annual Report to Disclose Specified Information Regarding Directors Shareholders are kept informed about the relevant details in respect of Directors.	Complied
A.10.1	Annual Report disclosure in respect of Directors Profiles of the Board of Directors are given on pages 156 to 160 including other Directorships held by the Directors and memberships of Board Committees. Directors' attendance is disclosed on page 174.	Complied
A.11	Appraisal of CEO/MD As required in this code, the Board assess the performance of CEO/MD at least annually.	Complied
A.11.1 / A.11.2	Targets for CEO at the commencement of each financial year and performance evaluation CEO/MD's performance targets are aligned with business strategies of the Company. Financial and non-financial targets are set at the beginning of every financial year by the Board which is in line with the short- medium- and long-term objectives of the Company. At the end of each financial year the Board evaluates the set targets and the actual performance.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
B	DIRECTORS' REMUNERATION	
B.1	Remuneration Procedure The Company established a formal and transparent procedure for developing policy on executive remuneration and for fixing the remuneration packages of individual Directors. No Directors involved in deciding his/her own remuneration	Complied
B.2	Remuneration Committee The remuneration levels for both Executive and Non-Executive Directors are adequate to attract and retain the necessary talent to run the company successfully. Proportion of the Executive Director's remuneration is designed to link rewards to corporate and individual performance, ensuring a balanced consideration of short, medium, and long-term performance outcomes.	Complied
B.2.1	Setting up of Remuneration Committee The Board has established Human Resource and Remuneration Committee within the agreed terms of reference to overlook the company's framework of remunerating the Executive Directors and Non-Executive Directors. The functions of the Committee include determination of compensation and benefits of the CEO/MD and Executive and Non-Executive Directors while ensuring that no Director is involved in setting his/her own remuneration.	Complied
B.2.2	Composition of Remuneration Committee Composition of Board Human Resource and Remuneration Committee is in line with the code. This committee consists of 3 Non-Executive Directors of whom 2 are independent in accordance with the code. Independent Non-Executive Director has been appointed as Chairman of the Board Human Resource and Remuneration Committee, by the Board.	Complied
B.2.3	BHRC consults the Chairman and MD/CEO on matters relating to the remuneration of Executive Directors/ Senior Management and access to the professional advice The Committee consults the Chairman and MD/CEO when recommending the remuneration of other Executive Directors and Senior Management. Further, the committee has the access to professional advice when deemed necessary.	Complied
B.2.4	Remuneration packages to attract, retain and motivate MD/CEO, Executive Directors (EDs) and Senior Management A process is in place to offer packages that attract, retain and motivate MD/CEO, EDs and Senior Management. The BHRC reviews the information relating to competitors of the Company and due care is taken to ensure that remuneration is on par with industry standards and the relative performance.	Complied
B.2.5	Linking EDs remuneration to Short, Medium and Long term performance of the Company MD/CEO and ED's remunerations are designed to link rewards to corporate and individual performance, ensuring a balanced consideration of short, medium, and long-term performance of the company.	Complied
B.2.6	Remuneration packages in line with industry practices The BHRC reviews the information relating to comparable competitors of the Company and due care is taken to ensure that remuneration is on par with industry standards and the relative performance. The committee is mindful of the risk that they can result in an increase of remuneration with no corresponding improvements in performance.	Complied
B.2.7	Remuneration packages in line with other companies in the Group Size and scale of the Company's operations are not comparable with other Companies of the Group and therefore guidance could not be drawn from them.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
B.2.8	Performance-related payments to MD/CEO and EDs A transparent, stretching and rigorously applied performance-related elements of remuneration is available for MD/CEO and EDs with the objective of providing appropriate incentives to those Directors to perform at the highest level. The Committee annually reviews the performance of MD/CEO and EDs against the set targets approved by the Board. Further, the Committee ensures that the fair and transparent procedure recommended by the Board are followed when evaluating the performance of Senior Management.	Complied
B.2.9	Executive Share Option There are no Share Option schemes offered by the Company.	Not applicable
B.2.10	Designing schemes of performance related remuneration In deciding the remuneration of the MD/CEO, EDs and Senior Management, the Company takes note of the provisions set out in Schedule G of this code.	Complied
B.2.11 / B.2.12	Early termination of service of Directors Consideration of termination of service of the MD/CEO and EDs will be in accordance with their contract of service. Further, the committee take in to consideration the provisions stipulated in section B.2.11 and B.2.12 of this code.	Complied
B.2.13 / B.2.14	Remuneration of Non-Executive Directors The Board as a whole determines the remuneration of Non-Executive Directors including the members of BHRRC considering the time commitment, responsibilities of the role and the market practices which are reviewed periodically. The Company has not offered any Share Option plans to either Executive Directors or Non-Executive Directors.	Complied
B.2.15	Chairman and Members of the BHRRC Details of the Chairman and members of the Committee are disclosed in the report of the Board Human Resource and Remuneration Committee on page 196 of this Annual Report.	Complied
B.2.16	TOR of the BHRRC A Board approved TOR is in place to govern the BHRRC. Refer the report of the Board Human Resource and Remuneration Committee on page 196 of this Annual Report	Complied
B.3	Disclosure of Remuneration Annual Report of the Company contains a statement of Remuneration Policy and details of remuneration of the Board as a whole.	Complied
B.3.1	Disclosure about the BHRRC, Remuneration Policy and aggregate remuneration paid Report of the Board Human Resource and Remuneration Committee is given on page 196 which sets out the details on the composition, scope, number of meetings held by the committee and the remuneration policy. The aggregate remuneration paid to the Executive and Non-Executive Directors are disclosed in Section 16.1. (iv) on page 381.	Complied
B.3.2	Aggregate remuneration paid to Senior Management The aggregate remuneration paid to the Senior Management who directly reporting to MD/CEO and EDs disclosed in Section 16.1. (iv) on page 381.	Complied
C.	RELATIONS WITH SHAREHOLDERS	
C.1	Constructive use of the AGM & Other General Meetings The Company uses AGM to communicate with Shareholders and encourages their participation	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
C.1.1	Notice for the AGM to the Shareholders The Annual Report including Financial Statements and the Notice of the Meeting are sent to shareholders 15 working days prior to the date of the AGM as stipulated by the Companies Act No. 7 of 2007	Complied
C.1.2	Separate resolutions for substantially separate issues Separate resolutions are placed before shareholders for each substantial matters that require approval of shareholders at the Annual General Meetings (AGM). LBF propose a separate resolution for the adoption of company's Annual Report and Accounts during the AGM. It is treated as a distinct agenda item, giving the shareholders a dedicated opportunity to review and evaluate the contents of the report. Proxy appointment forms are provided to shareholders with the option to direct their proxy to vote either "for" or "against" any resolution or to withhold their vote.	Complied
C.1.3	Use of proxy votes The Company has recorded and counted all proxy votes for each resolution prior to the general meeting. For each resolution where a vote has been taken on a show hands, the company ensures the requirements stipulated in section C.1.3 of this code are complied with.	Complied
C.1.4	Availability of all Board Sub-Committee Chairmen and SID at the AGM The Chairman of the Board ensures the presence of the Chairpersons of all Sub Committees, including the Board Audit Committee, Board Human Resource and Remuneration Committee, Board Nomination and Governance Committee, Board Integrated Risk Management Committee, Board Related Party Transactions Review Committee, Board Information Security Committee, Board Sustainability Committee and Senior Independent Director, during the AGM. This arrangement allows the Chairpersons to be available and ready to address any inquiries or concerns raised by the shareholders.	Complied
C.1.5	Procedures of voting at general meetings Company circulate along with every notice of AGM and a summary of procedures governing voting at general meetings to all shareholders prior to 15 working days as stipulated in the Companies Act No. 7 of 2007. Shareholders right to appoint a proxy for voting at AGM appears on Notice of Meeting and on the Form of Proxy. Voting procedures at general meetings appear on the Form of Proxy.	Complied
C.2	Communication with shareholders The Board has implemented processes for effective communication with shareholders.	Complied
C.2.1	Channel to reach all shareholders to disseminate timely information There are many channels of communication for engaging with shareholders. These include press releases and notices and required disclosures to the CSE which are published on the CSE website. The quarterly financial statements are disseminated to the CSE within 45 days, the exception being for the last quarter of the financial year where the Company has 60 days to publish those interim financial statements. Half yearly Financial Statements are published in daily newspapers in all three languages as per the Finance Companies Guidelines No. 2 of 2006. Notice of Annual General Meeting is circulated together with the Annual Report and Accounts which includes any other special business (if any) to be transacted at the AGM. Where necessary, Extra Ordinary General Meetings are convened after giving statutory notice to all shareholders. Annual General Meeting provides a platform for shareholders to discuss and seek clarification on the activities of the Company.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
C.2.2	Policy and methodology of communicating The Company provides fair disclosure with emphasis on the integrity, accuracy, timeliness and relevance of the information provided. The Company has implemented a Corporate Communication Policy that outlines various communication channels aimed at reaching all shareholders of LBF effectively. This policy ensures the timely dissemination of important information to shareholders, utilizing multiple channels of communication. Refer Stakeholder engagement on pages 40 to 44 in the Annual Report for further details.	Complied
C.2.3	Implementation of the communication policy and methodology Shareholders receive the Annual Report from the Company either by way of digital means or in hard copy form. Shareholders may at any time elect to receive the Annual Report from the Company in printed form without any charge. Refer Stakeholder engagement on pages 40 to 44 in the Annual Report for further details.	Complied
C.2.4	Disclosure of the contact person as per communication policy Shareholders have the freedom to raise questions, request publicly available information, and provide comments and suggestions to the Directors or Senior Management of the Company at any time. To facilitate this, they are encouraged to direct their inquiries, requests, and comments to the Company Secretary, who will ensure that they are appropriately addressed. Key spokespersons are discussed in details in the corporate communication policy which was reviewed and approved by the Board.	Complied
C.2.5	Awareness of Directors on major issues and concerns of shareholders Process to make all Directors aware on major issues and concerns of shareholders has been established through the Corporate Communication Policy. The Company Secretary maintains a record of all correspondence received and will deliver as soon as practicable such correspondence, which require Board attention to the Board or individual Director/s as applicable.	Complied
C.2.6	Contact person for shareholders in relation to shareholders' matters Company Secretary can be contacted for any queries of shareholders.	Complied
C.2.7	Process for responding to shareholders Process has been formulated through a Board approved Policy in responding shareholder matters. The Corporate Communication Policy was reviewed and approved regularly by the Board.	Complied
C.3	Major and material transactions Directors disclose all proposed corporate transactions which would materially alter/vary the net asset base of the Company or the Group.	Complied
C.3.1	Disclosure of major and material related party transactions During the year, the Company did not engage in or commit any major related party transactions which materially affected the Company's/Group's net asset base.	Complied
C.3.2	Disclosure of major transactions in terms of Companies act No. 7 of 2007 During the year, the Company did not engage in or commit any major transactions as stipulated in section 185 (1), (2), and (3) of the Companies Act.	Complied
C.3.3	Disclosure to Securities and Exchange Commission (SEC) and Colombo Stock Exchange (CSE) The Company did not engage in or commit any major and material related party transaction during the year which materially affected the company's/group's net asset base to make a disclosure to SEC and CSE.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
D	ACCOUNTABILITY & AUDIT	
D.1	Financial and Business Reporting (The Annual Report) The Board presents a balanced and an understandable assessment of the Company's financial position and prospects.	Complied
D.1.1/ D.1.2/D.1.3	Presenting true, fair, balanced and understandable Annual Report with financial statements in conformity with relevant laws and regulations The Company has reported a true and fair view of its financial position and performance for the year ended on 31st March 2024 and at the end of each quarter, the financial year and all price sensitive information has been disclosed in a timely manner. The Board obtained declarations from CEO and CFO that Company's interim and annual financial statements are prepared in conformity with applicable accounting standards, relevant laws and regulations and gives true and fair view of the financial position and performance, risk management and effectiveness of the internal controls.	Complied
D.1.4	Directors' Report in the Annual Report Annual Report of the Board of Directors on the affairs of the Company is given on page 179 covering all areas of this section.	Complied
D.1.5	Annual Report disclosure stating Board's and Auditors' responsibility Statement of Directors' Responsibility for Financial Reporting is given on page 203 and Auditors reporting responsibility is given in the Independent Auditor's Report on page 206.	Complied
D.1.6	Management Discussion and Analysis Management discussion and analysis is given on page 32 Business model on page 38 Industry structure and developments on page 32 Opportunities and threats on pages 68 to 79 Risks and concerns - Integrated Risk Management report on page 208 Internal control systems and their adequacy on page 204 Corporate and enterprise governance on page 164 Stakeholder relationships on page 40 Social and environmental protection activities carried out by the Company on page 56 Financial performance on page 84 Investment in physical and intellectual capital on page 120 Material developments in Human Resource management on page 106 Prospects for the future on page 423	Complied
D.1.7	Serious loss of Net Assets The probability of such an event occurring is highly unlikely. Nonetheless, in the event that such a situation does arise, an Extraordinary General Meeting (EGM) will be promptly scheduled, and shareholders will receive timely notifications regarding the meeting.	Not applicable
D.1.8	Disclosure of Related Party Transactions A detailed Board-approved documented process is available in the Company for monitoring and reporting of Related Party Transactions. The Company Secretary makes necessary disclosures of any Related Party Transactions which require disclosure as per the rules. All related party transactions as defined in Sri Lanka Accounting Standard -24 (LKAS 24) on 'Related Party Transactions' are disclosed in Note 3.1 to the Financial Statements on pages 318. The Company maintains a comprehensive record of related parties and related party transactions. This record is designed to capture the necessary information to ensure compliance with the related party disclosure requirements mandated by regulatory bodies such as Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission (SEC), Sri Lanka Accounting Standards, Sri Lanka Auditing Standards, and other relevant regulations. Refer the CBSL CG table on page 378 for more details on the process adopted.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
D.2	Risk Management and Internal Control The Board is responsible for formulating and implementing appropriate processes for risk management and internal control systems to safeguard shareholder investments and assets of the Company.	Complied
D.2.1	Risk Management Framework Board approved risk management framework is in place to identify, assess, monitor and managing the risks with clear accountabilities to ensure the achievement of strategic, operational and financial objectives of the Company.	Complied
D.2.1.1	Robust assessment of principal risks A fully fledged risk management department which reports to the Board through BIRMC is established by the company. AGM-RM periodically carries out robust risk assessment of the principal risks facing by the company which may impact company's business model, future performance, solvency and liquidity.	Complied
D.2.1.2	Disclosure of Risk Management Framework in Annual report The risk management framework, processes and responsibilities are disclosed in the Report of the Board Integrated Risk Management Committee Report on page 192 of this annual report.	Complied
D.2.1.3/ D.2.1.4	Establishment of Risk Management Committee The Board has established Board Integrated Risk Management Committee to oversee the risk management function and a Board approved TOR is in place to govern the committee functions. Refer the Report of the Board Integrated Risk Management Committee on page 192 of this annual report.	Complied
D.2.1.5	Composition of the BIRMC The committee comprised 3 Non-Executive Directors of whom majority are independent. The Chairman of the committee is an Independent Non-Executive Director.	Complied
D.2.1.6	TOR of the BIRMC A Board approved TOR is in place which govern the functions of the BIRMC. TOR was last reviewed and approved by the Board on August 2023.	Complied
D.2.1.7/ D.2.1.8	Report of the BIRMC The composition, scope, roles and responsibilities of the BIRMC determined in conformity with relevant laws and regulations applicable to LBF and detail report of the committee is disclosed in the annual report. Refer the Report of the Board Integrated Risk Management Committee on page 192 of this annual report.	Complied
D.2.2	Design of the internal control system The board has set up a process to ensure that the internal controls are designed, implemented and monitored, to provide reasonable assurance on reliability of financial reporting, effectiveness and efficiency of operations, compliance with applicable laws and regulations.	Complied
D.2.2.1/ D.2.2.2/ D.2.2.3	Effectiveness of the internal control system A process has been setup to provide reasonable assurance on reliability of internal controls over financial reporting, operational and compliance system, processes and practices. A fully fledged internal audit department is in place to ensure the effectiveness of governance, internal control and risk management practices of the company. The Board Audit Committee annually reviews the effectiveness of internal controls and risk management process through internal audit department to ensure effective discharge of their duties.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
D.2.2.4	Sound system of internal control Processes are in place to maintain the sound and effective system of internal control to achieve the corporate objectives of the company. Refer the “Directors Statement on Internal Control” on page 204 of this annual report for more details.	Complied
D.3	Audit Committee The Board has established a formal and transparent arrangements for considering how they should select and apply accounting policies for financial reporting, determining structures and content of corporate reporting, internal control principles and maintaining an appropriate relationship with the company's Auditors.	Complied
D.3.1	Composition of the Audit Committee The Board Audit Committee comprises with three Non-Executive Directors of whom majority are independent. The composition and scope of the Board Audit Committee members are stated in Board Audit Committee report on page 188 and Profiles of the Board of Directors are on page 156. The Board is satisfied that the members of the committee has recent and relevant experience in financial reporting and internal controls. Non-Executive Director who is a member of a professional accounting body functions as a Chairperson of the committee. An independent Director will be appointed as the chairperson of the Committee on or before 1 July 2024.	Complied except the independence of the Chairperson
D.3.2	The Terms of Reference of the Committee The Board approved TOR is in place which covered the minimum requirements stipulated in this code. The committee acts according to the TOR and assists Board in discharging its duties. The Committee responsibilities and activities performed during the period are given in Board Audit Committee report on page 188.	Complied
D.3.3	Disclosures made in the Annual Report about Board Audit Committee Refer the Board Audit Committee Report given on page 188 of the Annual Report	Complied
D.4	Risk Committee The Board has established a procedure for risk management including how they determine, risk culture, risk appetite, risk identification and classification, rating and management of risk	Complied
D.4.1	Composition of BIRMC Board has established BIRMC which comprised 3 Non-Executive Directors of whom majority are independent. The Chairperson of the committee is an Independent Non-Executive Director. MD/ CEO, EDs, CFO, CIO and heads of strategic business units are invited to attend BIRMC meetings where necessary.	Complied
D.4.2	The terms of reference of the Committee The Board approved TOR is in place which covered the minimum requirements stipulated in this code. The committee acts according to the TOR and assists Board in discharging its duties. The Committee responsibilities and activities performed during the period are given in BIRMC report on page 192	Complied
D.4.3	BIRMC Meetings The committee met 6 times during the financial year as stipulated in the TOR. The Company Secretary functions as the secretary to the BIRMC. AGM - Risk Management to be appointed as the secretary to committee on or before 1 July 2024	To be complied on or before 1 July 2024
D.4.4	Seeking External Professional Advice The committee sought external professional advice as and when required.	Complied
D.4.5	Disclosures made in the Annual Report about BIRMC Refer the Board Integrated Risk Management Committee report given on page 192 of the Annual Report.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
D.5	Related Party Transactions Review Committee A Board approved policy and procedure are in place to ensure that the company does not engage in transactions with related parties in a manner that would grant “more favourable treatment” to such parties	Complied
D.5.1	Related Parties and Related Party Transactions All related party transactions as defined in Sri Lanka Accounting Standard –24 (LKAS 24) on ‘Related Party Transactions’ are disclosed in Note 3.1 to the Financial Statements on page 318. Refer D.1.8 on page 394 of this code for more details.	Complied
D.5.2	Composition of BRPTRC Board has established BRPTRC which comprised 3 Non-Executive Directors of whom majority are independent. The Chairperson of the committee is an Independent Non-Executive Director. MD/CEO,EDs and heads of strategic business units are invited to attend BRPTRC meetings where necessary. The committee met 5 times during the financial year.	Complied
D.5.3	The TOR of the Committee The Board approved TOR is in place which covered the minimum requirements stipulated in this code. The committee acts according to the TOR and assists Board in discharging its duties. The Committee responsibilities and activities performed during the period are given in BRPTRC report on page 198	Complied
D.6	Code of Business Conduct and Ethics The Board has adopted a Code of Business Conduct and Ethics for Directors, KMPs and other Employees including but not limited to dealing with shares of the company, compliance with listing rules, bribery and corruption, confidentiality, reporting of any illegal, fraudulent and unethical behaviors.	Complied
D.6.1	Code of Business Conducts/Whistleblowing policy/Anti-bribery and corruption policy (ABC) The Board approved policies on Code of Conduct, Whistleblowing and ABC for Directors, KMPs and all staff members are in place covering the major areas of; conflict of interest, bribery and corruption, entertainments and gifts, accurate accounting and record keeping, fair and transparent procurement practices, corporate opportunities, confidentiality, fair dealing, protection and proper use of company assets, sexual harassment, discrimination and abuse, compliance with laws, rules and regulations and encouraged to report of any illegal, fraudulent and unethical behaviour.	Complied
D.6.2	Reporting of material and price sensitive information A process in place to ensure that material and price sensitive information is promptly identified and reported to CSE.	Complied
D.6.3	Policy on trading of shares by Directors, KMPs and Employees A Board approved Share Trading Policy is in place to govern the process for monitoring and disclosure of shares by Directors, KMPs or any other employee involved in financial reporting. The said policy is regularly reviewed and approved by the Board.	Complied
D.6.4	Whistle-blowing arrangements A Board approved whistle-blowing policy is in place to establish a procedure to deal with complaints received from employees, customers, suppliers or any other parties in relation to non-compliance with company’s code of business conduct and ethics. The BAC follows up the incidents reported in quarterly basis through the compliance officer.	Complied
D.6.5	Training on Code of Conducts All new employees are provided with a comprehensive training on the Code of conduct of the company. Periodic confirmations on awareness and compliance on company’s code of conduct are obtained from all employees.	Complied

CORPORATE GOVERNANCE

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
D.6.6	Dissemination of the policy A process is in place to report to the Board on regular basis about the dissemination of the policy among the staff in all 3 languages, training arrangements, violation/ non-compliances with respective action taken. No any waivers or exceptions are allowed in deviating code of business conduct and ethics.	Complied
D.6.7	Chairman's confirmation on implementing Code of Conduct and Ethics The Chairman and the Board affirm that all Directors and KRPs have declared compliance with this Code and the Chairman is not aware of any violation of any of the provisions in these Codes.	Complied
D.7	Corporate Governance Disclosures The Board has disclosed the extent of compliance with good corporate governance principles and practices.	Complied
D.7.1	Disclosure of Corporate Governance Compliance The requirement is met with the presentation of this Corporate Governance Report from pages 164 to 178 of the Annual Report.	Complied
SECTION II	SHAREHOLDERS	
E	INSTITUTIONAL INVESTORS	
E.1	Shareholder voting Institutional shareholders who invested directly in shares of LBF are encouraged to perform adequate analysis on governance arrangements, Board structure, composition in addition to the other financial factors. All investors are encouraged to ensure their voting intentions are translated into practice.	Complied
E.1.1	Regular and structured dialogues with shareholders The Company has 5,023 ordinary voting shareholders of which above 87.7% are institutional shareholders. The Company conducts regular structured dialogue with the large institutional shareholders and any concerns of these institutional shareholders expressed at the meetings is communicated to the Board as a whole.	Complied
E.2	Evaluation of Governance Disclosure The company encourages all institutional investors to give due weight on the LBF's governance arrangements and practices particularly relating Board structure and composition when evaluating the company.	Complied
F	OTHER INVESTORS	
F.1	Investing/Divesting Decisions Individual shareholders are encouraged to carry out comprehensive analysis or seek independent advice in investing or divesting decisions.	Complied
F.2	Shareholder voting Individual shareholders are encouraged to participate in general meetings of the company and exercise their voting rights. Company circulate along with every notice of AGM and a summary of procedures governing voting at general meetings to all shareholders prior to 15 working days to make informed decisions.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
SECTION III	OTHER MATTERS	
G	INTERNET OF THINGS & CYBERSECURITY	
G.1	Identify connectivity and related cyber risks A process is in place to identify how in the LBFs business model, IT devices within and outside the organisation can connect to the organisation's network to send and receive information and the consequent cyber security risks that may affect the business. The risk management department and Chief Information Security Officer (CISO) continuously monitors the potential risks and the mitigation factors to minimize the cyber security risks. Refer intellectual capital in page 120 of this annual report for more details.	Complied
G.2	Appoint a CISO and allocate budget to implement a cybersecurity policy A dedicated CISO with sufficient skills and authority is appointed to oversee the implementation of information security policy which was approved by the Board. Information Security policy which was reviewed and approved in August 2023 included all aspects stipulated in this code. Refer page - 177 - IT Governance	Complied
G.3	Include cyber risk management on Board agenda A Board appointed Board Information Security Committee (BISC) oversee the Information and cybersecurity risk management process to mitigate any potential risks. At the BISC meetings extensive discussions are carried out on matters relating to potential cybersecurity risk to the business model, CISOs security strategies and status of current projects, compliance with regulations. A comprehensive update is given to the Board by the Chairperson. Refer the report of Board Information Security Committee on page 200 of this annual report.	Complied
G.4	Obtain periodic assurance to review effectiveness of Cybersecurity Risk Management Effectiveness of the cybersecurity risk management process is reviewed in regular intervals through independent expertise to identify and address potential threats. Outcomes of the reviews together with the action plans are updated to the board through BISC. Refer page - 120 - Information security governance.	Complied
G.5	Disclosures in Annual Report The process followed to identify and manage the information and cybersecurity risk are disclosed in report of the Board Information Security Committee on page 200 of this annual report.	Complied
H	SUSTAINABILITY : ESG RISK AND OPPORTUNITIES	
H.1	ESG risk and opportunities The Board has considered the ESG risks and opportunities within LBF's business model, operations, short- and medium-term planning, and long-term strategy to ensure LBF's resilience and ability to deliver sustainable value over the short, medium, and long term. This approach is aimed at maintaining the confidence and continued engagement of shareholders and all significant stakeholders. Refer sustainability related risks and opportunities on page 60 of this annual report.	Complied
H.1.1	Impact of ESG risks and opportunities The Board appointed sub-committee, Board Sustainability Committee (BSC) oversees the impact of sustainability related risks and opportunities. The impact of ESG risks and opportunities of the company's business plans and strategic plans are submitted to the Board through BSC. Refer the report of BSC on page 202 of this annual report and our commitments to sustainability on page 56 of this annual report.	Complied

CORPORATE GOVERNANCE

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
H.2	Views of Stakeholders The Board and Key Management Personnel have engaged with stakeholders and considered their views to understand and manage LBF's ESG risks and opportunities, given the increasing expectations regarding environmental protection and other ESG issues. Refer the report of BSC on page 202 of this annual report and our commitments to sustainability on page 56 of this annual report.	Complied
H.2.1	Process to recognise significant stakeholders The Company has a process in place to recognise significant stakeholders and material matters relating to significant stakeholders and a method of engagement relevant to their level of interest and influence. Refer the report of BSC on page 202 of this annual report and our commitments to sustainability on page 56 of this annual report.	Complied
H.3	Governance Framework The Board has established a governance framework and structure through BSC which includes conformance, performance and ESG factors. Refer the report of BSC on page 202 of this annual report and our commitments to sustainability on page 56 of this annual report.	Complied
H.3.1	Sustainability Factors The Board has addressed sustainability factors through an environmental, social and governance framework. Refer the report of BSC on page 202 of this annual report and our commitments to sustainability on page 56 of this annual report.	Complied
H.3.1.1	Environmental Governance The Company has adopted an integrated approach in relation to Environmental Governance which takes into account the direct and indirect economic, social, health and environmental implications on business strategies, plans, decisions and operations. Refer the report of BSC on page 202 of this annual report and our commitments to sustainability on page 56 of this annual report.	Complied
H.3.1.2	Social Governance The Company has implemented an integrated approach to Social Governance to engage with community representatives, customers, employees, suppliers, outsourced providers, and other parties that could influence the business model in areas crucial to the company's sustainable growth. Relationship with Community The Company has adopted an integrated strategy for building community relationships to promote sustainable development. Relationship with Customers The Company has adopted an integrated approach in building relations with the customers. The Company has a process in place for customer feedback through engagement, efficient service deliver, standards for product responsibility and product recall and other matters that are material and relevant to the Company's business model and customer experience. Labour Practice Governance The Company's labour practice related governance encompasses all policies and practices in relation to work performed by or on behalf of the Company. The governance also contains policies and practices such as health and safety, equal opportunity, gender balance, career development and training, reward and recognition, conditions of work, worklife balance and industrial relations. Suppliers and Outsourced Providers The Company has procedures in place to ensure that suppliers and outsourced providers comply with social and governance norms of the Company.	Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	COMPLIANCE STATUS
H.4	Establishment of a governance structure to support ESG factors The Board has established a governance structure to support ESG factors.	Complied
H.4.1	Recognition of Key resources/Capital The Board has recognised its key resources/capital deployed in its business and stakeholders.	Complied
H.4.2	Process in ascertaining, assessing and managing ESG factors The Board has implemented a process to ascertain, assess and manage ESG factors which has an impact on the sustainability of the Company.	Complied
H.4.3	Establishment of financial and non-financial measures The Board has established financial and non-financial measures in respect of all material matters relating to significant stakeholders, environmental and social factors.	Complied
H.5	Disclose ESG risks and opportunities The Board has disclosed how all its ESG risks and opportunities are recognised, managed, measured and reported in the annual report. Refer Integrated Risk Management report on page 208 of this annual report.	Complied
H.5.1 - H.5.4	ESG Reporting The Board has implemented ESG policies and practices into the Company's strategy, business model, governance and risk management and reports on its likely impacts and implications. The Board has disclosed on how the Company has complied with the mandatory and voluntary codes of corporate governance. The Company's leadership structure, organizational culture, code of conduct and business model supports the sustainability of the Company in the short, medium and long term. Refer the report of BSC on page 202 of this annual report and our commitments to sustainability on page 56 of this annual report.	Complied
I	SPECIAL CONSIDERATIONS FOR LISTED ENTITIES	
I.1	Establishment and maintenance of policies and other requirements Company establishes and maintains policies relating to its governance and discloses the details relating to the implementation of such policies.	Complied
I.1.1 - I.1.4	Establishment of policies Being a listed entity, the Company is cognizant of the requirement to establish and maintain the 12 mandatory policies and disclosing its existence in the Company's website. As such, the company has implemented 10 policies out of 12 as of 31 March 2024, as required by the listing rules.	Remaining 2 policies to be completed by 1st October 2024
I.2	Policy on Matters Relating to the Board of Directors The Board has established and maintained of formal policy governing matters relating to Board of Directors.	Complied
I.2.1 - I.2.2	Establishing policies relating to the Board of Directors The Company's existing Corporate Governance Code enshrines good governance principles in relation to the Board and is supported by the Articles of Association and several other governance related policies adopted by the Board of Directors. Noting that this requirement arises under the Listing Rules as well, a review and revision of the existing policies will be carried out to ensure compliance with the Listing Rules within the timelines stipulated therein.	Remaining 2 policies to be completed by 1st October 2024

CORPORATE GOVERNANCE

COMPLIANCE WITH LISTING RULES

Compliance with the Rule 7.6 of Listing Rule – Section 7 (Continuing Listing Requirements) issued by the Colombo Stock Exchange.

SECTION	GOVERNANCE PRINCIPLE	COMPLIANCE STATUS	PAGE REFERENCE
7.6	CONTENTS OF ANNUAL REPORT		
7.6 (i)	Names of persons who were Directors of the Company during the financial year	Complied	174
7.6 (ii)	Principal activities of the Company and its subsidiaries during the year	Complied	179
7.6 (iii)	Information on 20 largest shareholders at the end of the year	Complied	353
7.6 (iv)	The public holding percentage	Complied	352
7.6 (v)	Directors' and Chief Executive Officer's holding in shares	Complied	184
7.6 (vi)	Information pertaining to material foreseeable risk factors	Complied	186
7.6 (vii)	Details of material issues pertaining to employees and industrial relations	Complied	185
7.6 (viii)	Information on buildings/land holdings and investment properties as at the end of the year	Complied	294
7.6 (ix)	Number of shares representing the stated capital as at the end of the year	Complied	185
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities and related information	Complied	353
7.6 (xi)	Ratios and market price information on equity, debt, change in credit rating	Complied	20 and 22
7.6 (xii)	Significant changes in the Company's or Subsidiaries' fixed assets	Complied	185
7.6 (xiii)	Details of funds raised through a public issue, Rights Issue and a Private Placement during the year There were no share issues, rights issues or private placements during the year	Complied	N/A
7.6 (xiv)	Information in respect of Employee Share Ownership or Stock Option schemes The Company does not have any Employee Share Ownership or Stock Option Schemes at present.	Complied	N/A
7.6 (xv)	Disclosure pertaining to Corporate Governance practice in terms of Section 9 of the Listing Rules	Complied	403
7.6 (xvi)	Related party transactions exceeding 10% of the Equity or 5% of the total assets of the entity - The Company did not have any Related Party Transactions exceeding this threshold during the year.	Complied	N/A

COMPLIANCE WITH LISTING RULES

Compliance with the Rule No. 9 of Listing Rules – issued by the Colombo Stock Exchange.

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.1	Applicability of Corporate Governance Rules	
9.1.1/ 9.1.2	Applicability The company is complied with the rules set out in section 9.2 to 9.16 on continuous basis subject to transitional provisions.	01/10/2023 / Complied subject to transitional provisions
9.1.3	Publishing a statement confirming extent of compliance with these Corporate Governance Rules The disclosures given in this annexure fulfill this requirement. Refer the extent of compliance with CSE listing rules No. 9 on page 164 in the Annual report.	01/10/2023 / Complied
9.2	Policies	
9.2.1	Establish and maintain following policies and disclose on the company website, • Policy on the matters relating to the Board of Directors • Policy on Board Committees • Policy on Corporate Governance, Nominations and Re-election • Policy on Remuneration • Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities • Policy on Risk management and Internal controls • Policy on Relations with Shareholders and Investors • Policy on Environmental, Social and Governance Sustainability • Policy on Control and Management of Company Assets and Shareholder Investments • Policy on Corporate Disclosures • Policy on Whistleblowing • Policy on Anti-Bribery and Corruption Following board approved policies are implemented and published in the official website of the Company, • Policy on the matters relating to the Board of Directors • Policy on Board Committees • Policy on Corporate Governance, Nominations and Re-election • Policy on Remuneration • Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities • Policy on Risk management and Internal controls • Policy on Corporate Disclosures • Policy on Whistleblowing • Policy on Anti-Bribery and Corruption • Policy on Relations with Shareholders and Investors Following policies will be developed and implemented on or before effective date • Policy on Environmental, Social and Governance Sustainability • Policy on Control and Management of Company Assets and Shareholder Investments	01/10/2024 / 10 out of 12 policies are in place and balance 2 policies to be completed on or before the effective date.

CORPORATE GOVERNANCE

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.2.2	Waivers or exemptions for Internal Code of Business Conduct and Ethics The Company has fully complied with the Internal Code of Business Conduct and Ethics and no waivers/ exemptions were granted	01/10/2024 / Complied Early adopted
9.2.3	(i) List of policies that are in place with the reference to its website (ii) Any changes to policies adopted As specified in rule no. 9.2.1, the board approved policies have been disclosed in the company's website and no changes have been made to the policies adopted during the year.	01/10/2024 / Complied Early adopted
9.2.4	Policies available to shareholder upon request The Shareholders can obtain all policies upon making a written request to the Company.	01/10/2024 / Complied Early adopted
9.3	Board Committees	
9.3.1	Establishment of following Board committees (a) Nominations and Governance Committee (b) Remuneration Committee (c) Audit Committee (d) Related Party Transactions Review Committee The Board has established seven (7) board sub-committees including above four (4) Committees and Board Integrated Risk Management Committee (BIRMC), Board Information Security committee (BISC) and Board Sustainability Committee (BSC) to overlook risk function, information security and sustainability function respectively. Refer Governance Structure in page 169 of this Annual Report.	01/10/2023 / Complied
9.3.2	Compliance with the composition, responsibilities and disclosure requirements The composition, responsibilities, and disclosures required in respect of the above-board committees have been disclosed in Section 9.11, 9.12, 9.13, 9.14 of this report on pages 407, 408 and 409. Refer respective committee reports on pages 188, 194, 196 and 198 of this annual report.	01/10/2023 / Complied
9.3.3	The Chairperson of the Board cannot serve as the Chairperson of Board Committees. The Chairperson of the Board of Directors does not hold the position of Chairperson for any Board Committees mentioned in Rule 9.3.1 above. Refer respective committee reports on pages 188, 194, 196 and 198 of this annual report.	01/10/2024 / Complied Early adopted
9.4	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders	
9.4.1	Maintain records of all resolutions and other information stipulated in section 9.4.1 of the listing rules. Company Secretary maintains all records of resolutions and information upon a resolution being considered at a General Meeting including valid proxy votes, votes in favour, against and abstained for the resolutions. A process in place to provide copies of above information to SEC or CSE upon request.	01/10/2023 / Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.4.2	Communication and relations with shareholders and investors The company has established a corporate communication policy to effectively communicate and maintain relationships with shareholders and investors, which is outlined in both the annual report and on the website. The company secretary is designated as the contact person for communication purposes. The policy ensures that all Directors are informed of any significant concerns or issues raised by shareholders and these concerns are transparently addressed and communicated where necessary. Furthermore, this process has been disclosed in financial capital of this annual report on page 84 and on the company website. The company has not conducted any shareholder meetings through virtual or hybrid means.	01/10/2023 / Complied
9.5	Policy on matters relating to the Board of Directors	
9.5.1	Policy on governing matters relating to the Board of Directors Board approved Governance Framework includes the requirements stipulated in section 9.5.1 of the listing rules.	01/10/2024 / Complied Early adopted
9.5.2	Conformity with the section 9.5.1 Company is in compliance with the requirements stipulated in section 9.5.1 of the listing rules.	01/10/2024 / Complied Early adopted
9.6	Chairperson and CEO	
9.6.1	The Chairperson of the Company shall be a Non-Executive Director. Consequently, the position of Chairperson and CEO shall not be held by the same individual. Chairperson of the company is Non-Executive Director. The roles of Chairperson and CEO/MD are occupied by different individuals. Also, there is a clear separation of duties between the roles of Chairperson and MD/CEO. Refer the Page 169 of this annual report.	01/10/2023 / Complied
9.6.2	Immediate market disclosure in the case of non-compliance with section 9.6.1 of the listing rules Not applicable. The Chairperson of the company is a Non-Executive Director and the positions of Chairperson and MD/CEO are not held by the same person.	01/10/2023 / Complied
9.6.3	The requirement for Senior Independent Director (SID) Not applicable. The requirement for SID does not arise as the positions of Chairperson and MD/CEO are not held by the same person and Chairperson and MD/CEO are not close family members or related parties.	01/10/2023 / Complied
9.6.4	Annual report disclosure of reasons for non-Compliance with Section 9.6.1 of the Listing rules Not applicable. The Chairperson of the company is Non-Executive Director. The positions of Chairperson and CEO are not held by the same person.	01/10/2023 / Complied
9.7	Fitness of Directors and CEOs	
9.7.1	Fit and proper assessments of Directors and MD/CEO All the Directors and MD has declared that they are complied with the fit and proper criteria set out in the section 9.7.3 of the listing rules.	01/10/2023 / Complied
9.7.2	Recommendations by the Board Nominations and Governance Committee as Directors are fit and proper A process is in place to obtain a declaration from persons whose names are recommended by the BNGC as Directors confirming they are complied with the fit and proper criteria set out in the section 9.7.3 of the listing rules.	01/10/2023 / Complied
9.7.3	Fit and proper assessment criteria All the Directors and MD have declared that they are complied with the fit and proper criteria set out in the section 9.7.3 of the listing rules.	01/04/2024 / Complied Early adopted

CORPORATE GOVERNANCE

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.7.4	Fit and proper declarations from directors and MD/CEO All the Directors and MD/CEO has declared that they are complied with the fit and proper criteria set out in the section 9.7.3 of the listing rules.	01/10/2023 / Complied
9.7.5	Disclosures in the annual report on Fit and proper Refer the “annual report of the Board of Directors on the Affairs of the Company” in page 179 in this annual report.	01/10/2023 / Complied
9.8	Board Composition	
9.8.1	Minimum number of Directors on the Board The Board of Directors of the company consist of 10 Directors.	01/10/2024 / Complied Early adopted
9.8.2	Minimum Number of Independent Directors: The Board of Directors comprise 3 Independent Directors. Minimum requirement of 4 Independent Directors will be complied on or before the effective date (1 October 2024)	01/10/2024 / In progress
9.8.3/ 9.8.4	Criteria for determining independence All the Independent Directors of the company fulfill the independent criteria stipulated under the section 9.8.3 of the listing rules.	01/10/2023 / Complied
9.8.5.	Annual declaration of independence of the directors / disclosure of independence of the directors Signed declaration is obtained from all the Independent Directors of the company confirming their independence. The annual declarations and other available information were reviewed by Board to verify the adherence to the criteria for assessing independence During the year the Board has not identified any Independent Non-Executive Director whose independence is impaired against the criteria set out in the section 9.8.3 of the listing rules.	01/10/2023 / Complied
9.9	Alternate Directors None of the Directors of the Board has appointed alternate director during the year.	01/10/2024 / Not applicable
9.10	Disclosures relating to Directors	
9.10.1	Maximum number of directorships As per the governance framework of the company, the maximum number of directorships a Director can hold is twenty (20).	01/10/2023 / Complied
9.10.2	Appointment of a new director to the board No new appointments were made to the Board of directors during the year. A process in place to make an immediate market announcement setting out the following, as and when a new director is appointed. i. a brief resume ii. capacity of directorship; and iii. Statement of review by the BNGC	01/10/2023 / Complied
9.10.3	Market Announcement on changes to the composition of the board sub committees. No such changes were occurred during the year.	01/10/2023 / Complied
9.10.4	Disclosure of information relating to directors Refer the board profiles in page 156 of this annual report. Refer Board and sub-committee attendance in page 174 of this annual report Refer sub-committee reports in pages 188 to 202 in this annual report.	01/10/2023 / Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.11	NOMINATIONS AND GOVERNANCE COMMITTEE (BNGC)	
9.11.1	Availability of Nomination and Governance committee The company has a BNGC that conforms the requirements set out in rule 9.11 of listing rules. Refer Board Nomination and Governance Committee report on page 194 in this annual report.	01/10/2024 / Complied Early adopted
9.11.2	Board appointments through Nomination and Governance Committee A formal process is in place for the appointment of new Directors and re-election to the Board through the BNGC.	01/10/2024 / Complied Early adopted
9.11.3	Terms of reference of Nominations and Governance Committee Board approved Terms of Reference for BNGC is available that define scope, authority, duties and matters pertaining to the quorum of meetings. Refer Report of the Board Nomination and Governance Committee on page 194 of this annual report.	01/10/2024 / Complied Early adopted
9.11.4	Composition of the Board Nomination and Governance Committee The committee consist of 3 Non-Executive Directors out of which 2 of them are independent. The Chairperson of the committee is an Independent Non-Executive Director. Refer Report of the Board Nomination committee on page 194 of this Annual report.	01/10/2024 / Complied Early adopted
9.11.5	Functions of the Board Nomination and Governance Committee Refer the report of Board Nomination and Governance Committee report in the page 194 of this annual report.	01/10/2024 / Complied Early adopted
9.11.6	Disclosures in Annual Report Refer the Report of Board Nomination and Governance Committee report in the page 194 of this annual report.	01/10/2024 / Complied Early adopted
9.12	REMUNERATION COMMITTEE	
9.12.1/ 9.12.2	Availability of Remuneration Committee The company has a Board Human Resource and Remuneration Committee (BHRRC) that conforms the requirements set out in rule 9.12 of listing rules. Refer Board Human Resource and Remuneration Committee report on page 196 in this annual report.	01/10/2023 / Complied
9.12.3	Executive Directors' Remuneration A formal and transparent procedure is in place for fixing the remuneration of individual Executive Directors. Refer the Report of the Board Human Resource and Remuneration Committee report in the page 196 of this annual report.	01/10/2023 / Complied
9.12.4	Non-Executive Directors' Remuneration A policy which adopts the principle of non-discriminatory pay practices is in place in determining the remuneration of Non-Executive Directors to ensure that their independence is not impaired. Refer the Report of the Board Human Resource and Remuneration Policy in page 196 of this annual report.	01/10/2023 / Complied
9.12.5	Terms of Reference of Remuneration Committee Board approved Terms of Reference for BHRRC is available that define scope, authority, duties and matters pertaining to the quorum of meetings. Refer Report of the Board Human Resources and Remuneration Committee on page 196 of this annual report.	01/10/2023 / Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.12.6	Composition of the Remuneration Committee The committee consist of 3 Non-Executive Directors out of which 2 of them are independent. The Chairperson of the committee is an Independent Non-Executive Director. Refer Report of the Board Human Resources and Remuneration Committee on page 196 of this annual report	01/10/2023 / Complied
9.12.7	Functions of Remuneration Committee Board approved Terms of Reference of BHRRC covers the functions highlighted in section 9.12.7 of the listing rules. Refer Report of BHRRC on page 196 of this annual report.	01/10/2023 / Complied
9.12.8	Disclosures in the Annual report. Refer the report of BHRRC on page 196 of this annual report. The aggregate remuneration of the Executive and Non-Executive Directors are disclosed in page 318 of this annual report.	01/10/2023 / Complied
9.13	BOARD AUDIT COMMITTEE (BAC)	
9.13.1	Availability of Committee to perform audit and risk function The audit functions specified in section 9.13.4 are performed by BAC while a separate committee, BIRMC has been formed to perform risk function of the company. Refer Report of the BAC on page 188 and report of BIRMC on page 192 of this annual report.	01/10/2023 / Complied
9.13.2	Terms of Reference of Board Audit Committee Board approved Terms of Reference for Board Audit Committee is available that define scope, authority, duties and matters pertaining to the quorum of meetings. Refer Report of the Board Audit Committee on page 188 of this annual report.	01/10/2023 / Complied
9.13.3	Composition of the Board Audit Committee (1) The Committee comprise 3 Non-Executive Directors out of which 2 of them are independent. Further, the committee does not comprise Executive Directors. (2) As per the TOR of the Board Audit Committee, Quorum for a meeting require that the majority of attendees shall be Independent Directors. (3) The Board Audit Committee meets at least on monthly intervals. Which is in compliance with the requirements. (4) A separate Board committee has been established for the Listed subsidiary entity (Multi Finance PLC) (5) Non-Executive Director functions as a Chairperson of the committee. An Independent Director will be appointed as the Chairperson of the committee on or before the effective date. (6) The MD/CEO and CFO of the company attend the audit committee meetings by invitation. (7) The Chairperson of the BAC is a fellow Member of "The Chartered Institute of Management Accountants of UK" and also possesses sufficient experience in finance and banking industry. Refer the BAC report on page 188 of this annual report.	01/10/2024 / Early adopted except item No. 5 which will be complied on or before 1 July 2024.

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.13.4	The functions of the Audit Committee A Board approved Terms of reference of BAC includes the audit related functions specified in section 9.13.4 of the listing rules. The risk related functions specified in section 9.13.4 are included in the Terms of Reference of BIRMC. Refer Report of the BAC on page 188 and Report of BIRMC on page 192 of this annual report	01/10/2024 / Complied Early adopted
9.13.5	Disclosures in Annual Report Refer Report of the BAC on page 188 of this annual report.	01/10/2024 / Complied Early adopted
9.14	RELATED PARTY TRANSACTIONS REVIEW COMMITTEE	
9.14.1	Availability of Related Party Transactions Review Committee The company has a Board Related Party Transactions Review Committee (BRPTRC) that conforms the requirements set out in rule 9.14 of listing rules. Refer BRPTRC report on page 198 in this annual report.	01/10/2023 / Complied
9.14.2	Composition of Related Party Transactions Review Committee 1. The committee comprise of Three (3) Non-Executive Directors of which 2 of them are independent. Executive Directors are invited to the meetings as and when required. The Chairperson of the committee is an Independent Director. Refer the report of BRPTRC on page 198 of this annual report. 2. A Separate BRPTRC committee is established to overlook the RPT function of the listed subsidiary entity of the company.	01/10/2023 / Complied
9.14.3	Functions of the Related Party Transactions Review Committee Board approved Terms of Reference of BRPTRC covers the functions highlighted in section 9.14.3 of the listing rules. Refer the BRPTRC report on the page 198 of the annual report.	01/10/2023 / Complied
9.14.4	General Requirements or Related Party Transactions Review Committee (1) The committee met 5 times during the year. Refer the report of BRPTRC on page 198 of this annual report. (2) The members of the BRPTRC have enough knowledge and expertise to assess all aspects of proposed related party transactions. where necessary committee obtain appropriate professional and expert advice from an appropriately qualified person. (3) The committee requests the Board of Directors to approve the related party transactions which are under review by the committee. In such instances, the approval of the Board of directors obtained prior to entering into the relevant related party transaction. No such instances occurred during the year. Refer the report of the BRPTRC on page 198 of this annual report. (4) As stipulated the RPT policy, no Director has participated or voted in any discussion of a proposed related party transaction for which he or she is a related party. Refer the report of the BRPTRC on page 198 of this annual report.	01/10/2023 / Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee (1) All proposed related Party transactions are reviewed and recommended prior to entering in to transactions by BRPTRC. (2) In the event of any material changes to a previously reviewed related party transaction in terms of Rule 9.14.5 (1), such proposed material changes are also reviewed by the BRPTRC prior to the completion of the transaction. (3) LBF Senior Management provides all the facts and circumstances of the proposed related party transactions to the BRPTRC to facilitate the review of such related party transactions. (4) In determining whether to obtain the approval of the Board of directors for a related party transaction, the BRPTRC takes into account the factors stipulated in section 9.14.5 (4) of the listing rules. (5) No Director shall participate in any discussion of a proposed related party transaction in which he or she is a related party, except that the Director, at the request of the committee, may participate in discussions for the express purpose of providing information concerning the BRPTRC. (6) Processes are in place where all proposed related party transactions are reviewed and recommended by the related party transaction review committee prior to entering in to transactions.	01/10/2023 / Complied
9.14.6	Shareholder Approval (1)/(2)/(3) A process is in place to obtain shareholder approval by way of a special resolution for RPTs stipulated in section 9.14.6 (1) of the listing rules. However, there were no such transactions occurred during the year.	01/10/2023 / Complied
9.14.7	The Company shall make an immediate Market Announcement to the CSE for Related Party Transactions listed in Section 9.14.7 (a) and (b) The RPT policy of the company include provisions to make immediate market announcements with regard to the related party transactions listed in section 9.14.7 of the listing rules. There were no transactions which required immediate market announcements as set out in section 9.14.7 of the listing rules.	01/10/2023 / Complied
9.14.8	Disclosures in the Annual Report (1) There were no non recurrent related party transactions which exceed 10% of the equity or 5% of the total assets of the company whichever is lower which required to be disclosed in the annual report as required by section 9.14.8 of the listing rules. Refer the RPT Note No. 3.1 to the Financial Statements in page 318 of this annual report. (2) There were no recurrent related party transactions which exceed aggregate value 10% of gross revenue/income or 5% of the total assets of the company whichever is lower which required to be disclosed in the annual report as required by section 9.14.8 of the listing rules. (3) Refer the BRPTRC on page 198 of this annual report. (4) Refer annual report of the Board of Directors on the affairs of the company on page 179 of this annual report.	01/10/2023 / Complied

SECTION	GOVERNANCE PRINCIPLE AND IMPLEMENTATION	EFFECTIVE DATE/ COMPLIANCE STATUS
9.14.9	Acquisition and disposal of Assets from / to Related Parties During the year there were no acquisition or disposals of substantial assets from / to related parties.	01/10/2023 / Complied
9.14.10	Exempted Related Party Transactions Exemptions mentioned in this section has not been considered as all the related party transactions are reviewed and recommended by the BRPTRC.	01/10/2023 / Complied
9.16	Additional Disclosures Additional disclosures stipulated in the section 9.16 are declared by the Board of Directors in annual report of the board of directors on the affairs of the company. Refer Annual report of the Board of Directors on the Affairs of the Company on page 179 of this annual report.	01/10/2023 / Complied